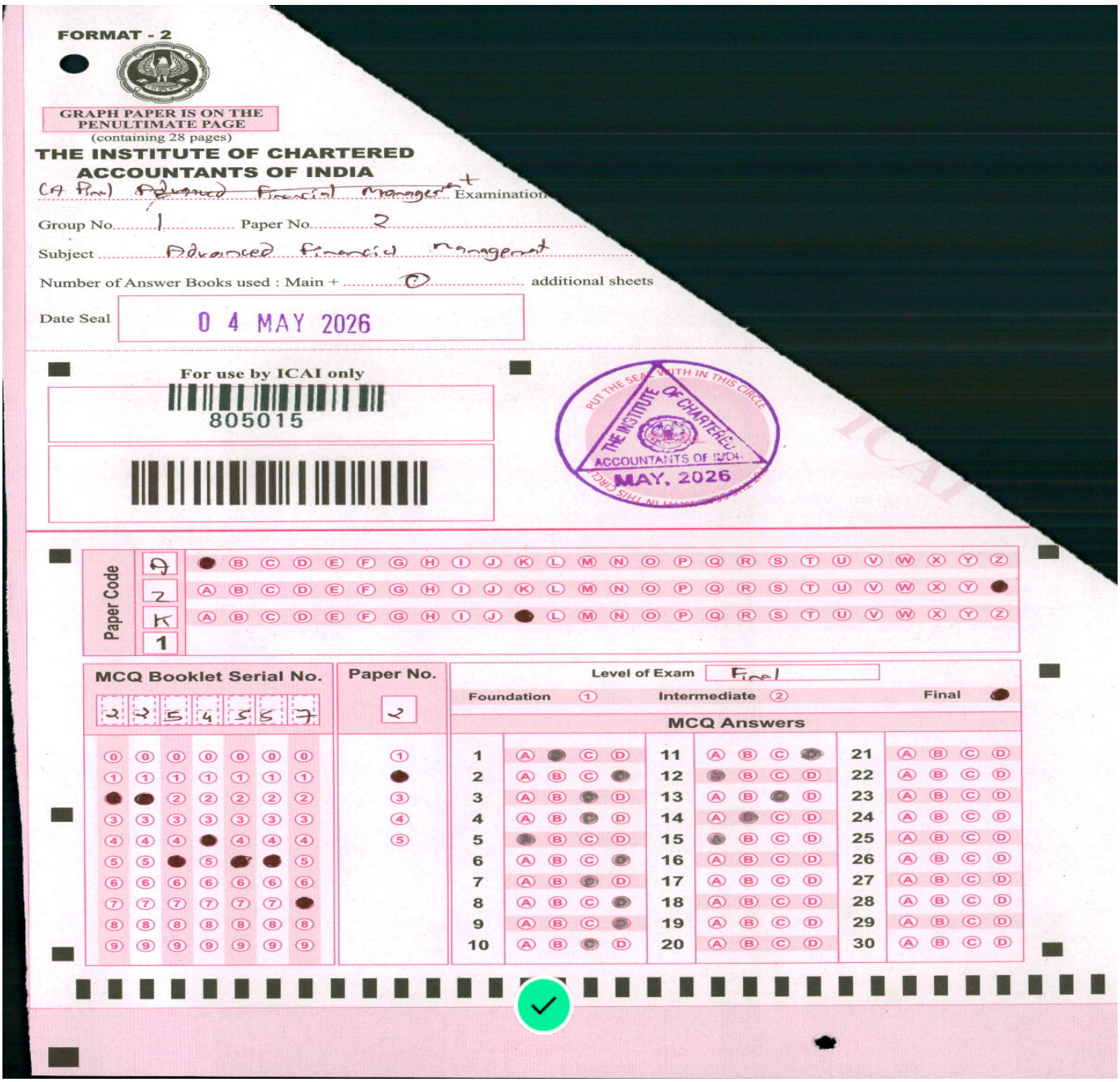
The Institute of Chartered Accountants of India

Code: FN2AF805015 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 51



FORMAT - 2

GRAPH PAPER IS ON THE PENULTIMATE PAGE
(containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

(A Final) Advanced Financial Management Examination

Group No. 1 Paper No. 2

Subject Advanced Financial Management

Number of Answer Books used : Main + 1 additional sheets

Date Seal 04 MAY 2026

For use by ICAI only

805015

PUT THE SEAL WITH IN THIS CIRCLE — THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA — MAY, 2026

Paper Code: A 2 K 1

MCQ Booklet Serial No.: 2 2 5 4 5 5 7

Paper No.: 2

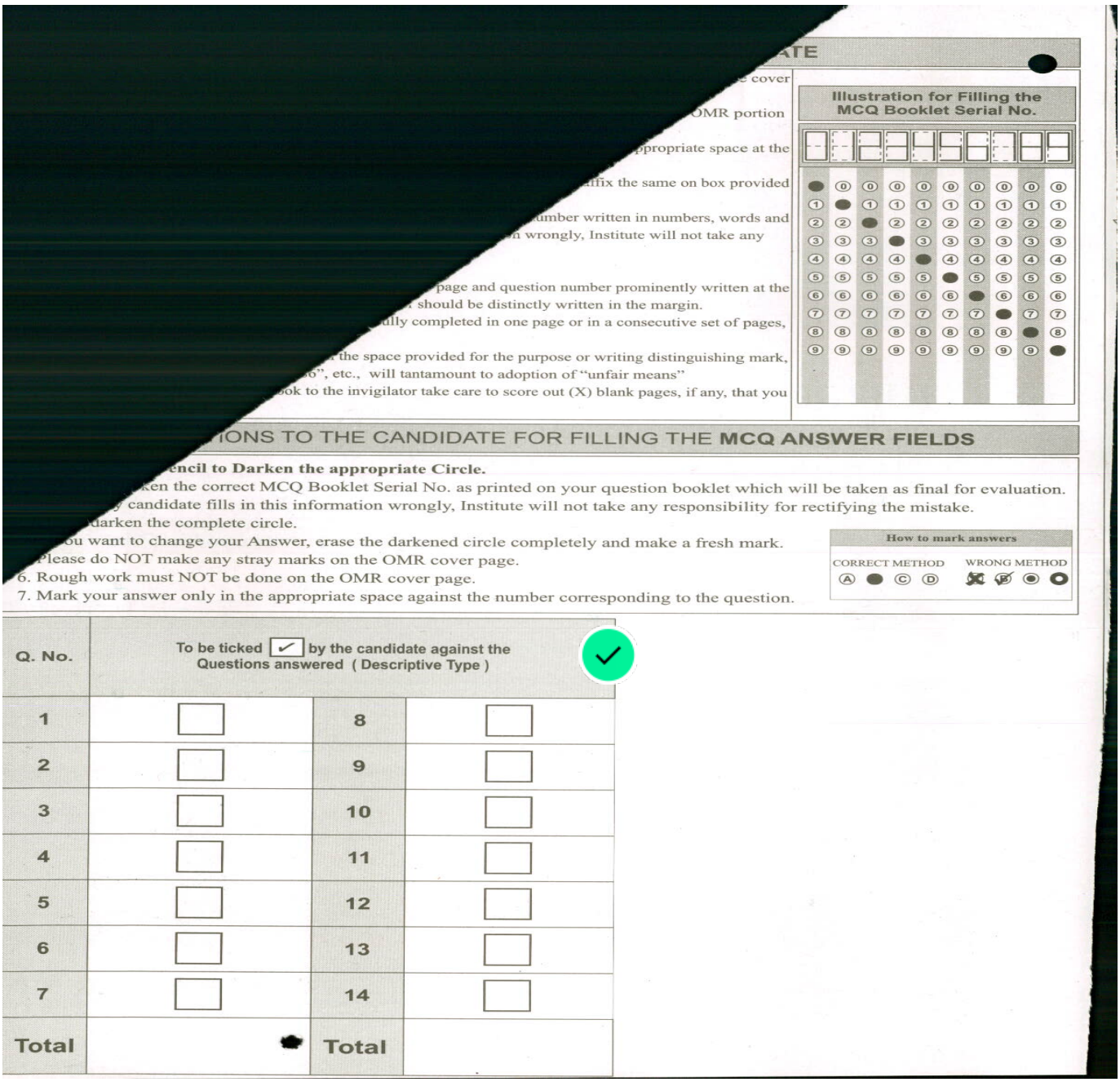
Level of Exam: Final (Foundation ① Intermediate ② Final ●)

MCQ Answers

1	A	●	C	D	11	A	B	C	●	21	A	B	C	D
2	A	B	C	●	12	●	B	C	D	22	A	B	C	D
3	A	B	●	D	13	A	B	●	D	23	A	B	C	D
4	A	B	●	D	14	A	●	C	D	24	A	B	C	D
5	●	B	C	D	15	●	B	C	D	25	A	B	C	D
6	A	B	C	●	16	A	B	C	D	26	A	B	C	D
7	A	B	●	D	17	A	B	C	D	27	A	B	C	D
8	A	B	C	●	18	A	B	C	D	28	A	B	C	D
9	A	B	C	●	19	A	B	C	D	29	A	B	C	D
10	A	B	●	D	20	A	B	C	D	30	A	B	C	D

The Institute of Chartered Accountants of India

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Illustration for Filling the MCQ Booklet Serial No.

...IONS TO THE CANDIDATE FOR FILLING THE **MCQ ANSWER FIELDS**

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...ken the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation.

...candidate fills in this information wrongly, Institute will not take any responsibility for rectifying the mistake.

...darken the complete circle.

...ou want to change your Answer, erase the darkened circle completely and make a fresh mark.

5. Please do NOT make any stray marks on the OMR cover page.

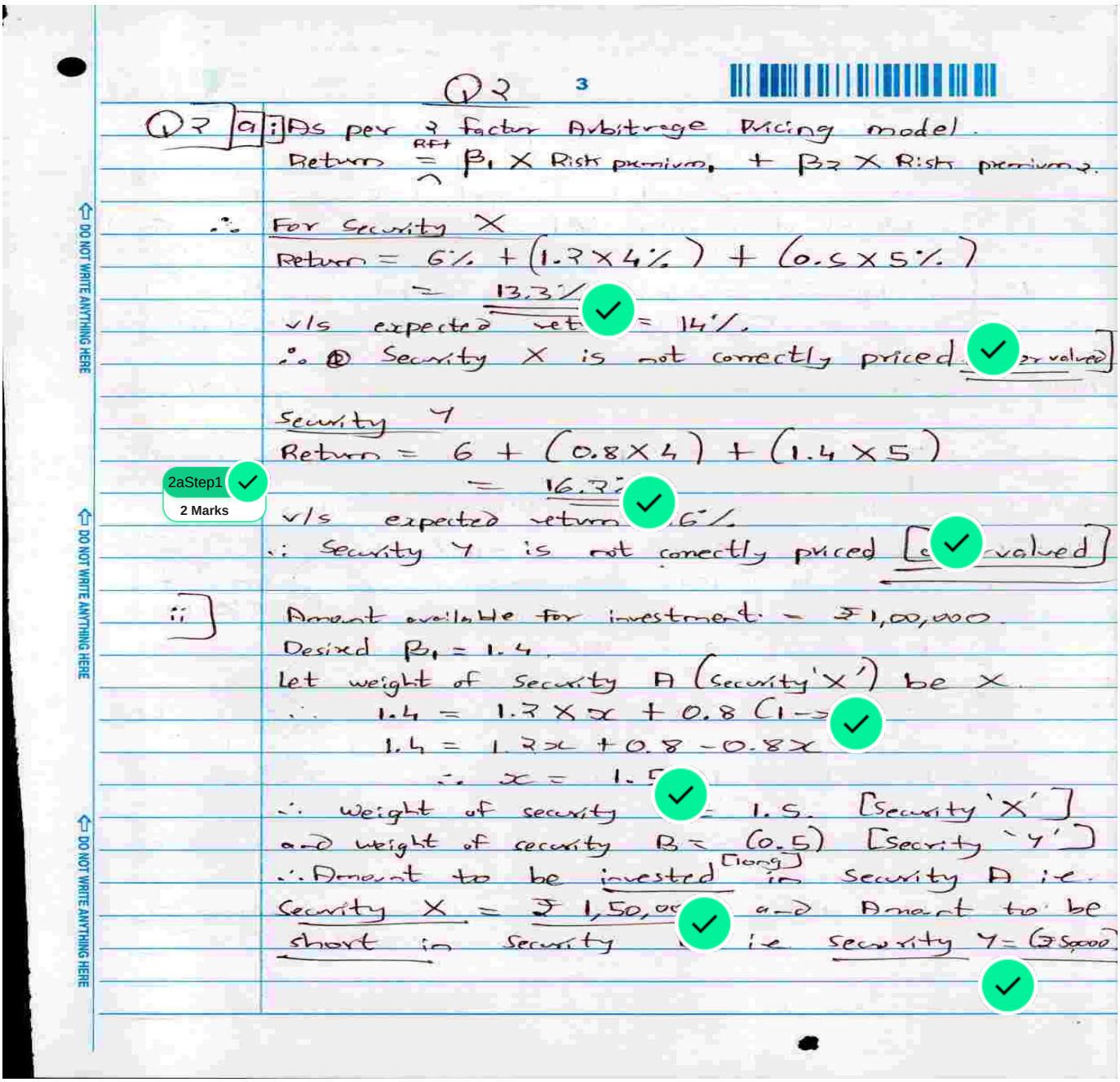
6. Rough work must NOT be done on the OMR cover page.

7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers

CORRECT METHOD WRONG METHOD

Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)		
1		8	
2		9	
3		10	
4		11	
5		12	
6		13	
7		14	
Total		Total	



Q2 3

Q2 [a] [i] As per 2 factor Arbitrage Pricing model.

$\text{Return}_{RFR} = \beta_1 \times \text{Risk premium}_1 + \beta_2 \times \text{Risk premium}_2$.

∴ For Security X

Return = 6% + (1.2 × 4%) + (0.5 × 5%)

= 13.3%

v/s expected ret = 14%.

∴ @ Security X is not correctly priced [overvalued]

Security Y

Return = 6 + (0.8 × 4) + (1.4 × 5)

= 16.7%

2aStep1 2 Marks

v/s expected return 16%.

∴ Security Y is not correctly priced [undervalued]

[ii] Amount available for investment = ₹1,00,000.

Desired $\beta_1 = 1.4$.

Let weight of security A (Security 'X') be x.

∴ 1.4 = 1.2 × x + 0.8 (1 − x)

1.4 = 1.2x + 0.8 − 0.8x

∴ x = 1.5

∴ Weight of security A = 1.5. [Security 'X']

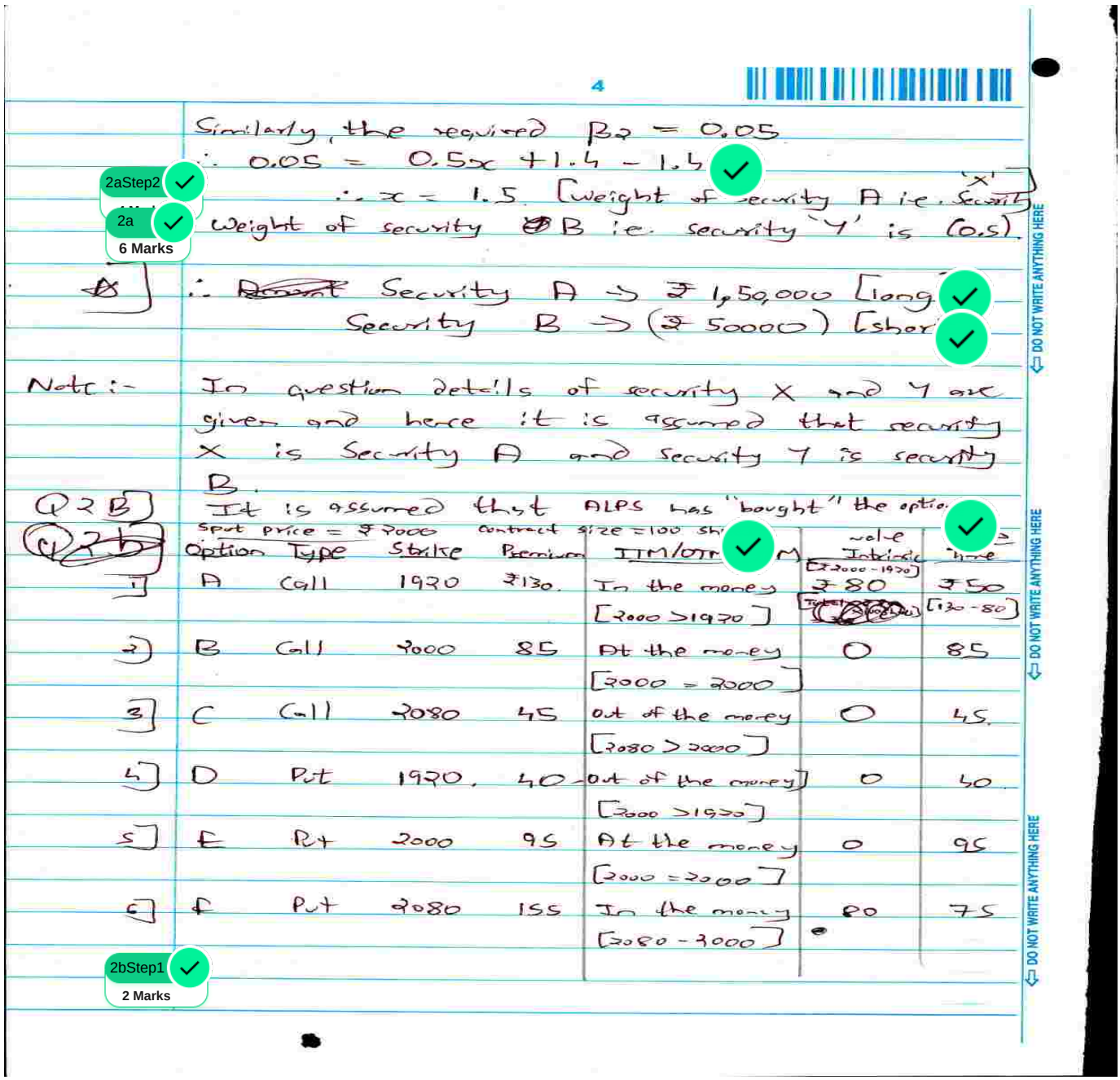
and weight of security B = (0.5) [Security 'Y']

∴ Amount to be invested [long] in Security A i.e. Security X = ₹1,50,00 and Amount to be short in Security i.e. Security Y = (₹50000)

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4

Similarly, the required $\beta_2 = 0.05$

$\therefore 0.05 = 0.5x + 1.4 - 1.4$ ✓

$\therefore x = 1.5$ [Weight of security A i.e. Security 'X']

Weight of security B i.e. security 'Y' is (0.5).

2aStep2 ✓ 2a ✓ 6 Marks

A] ∴ Security A → ₹ 1,50,000 [long ✓

Security B → (₹ 50000) [short ✓

Note :- In question details of security X and Y are given and here it is assumed that security X is Security A and security Y is security B.

Q2 B]

(1) 2b

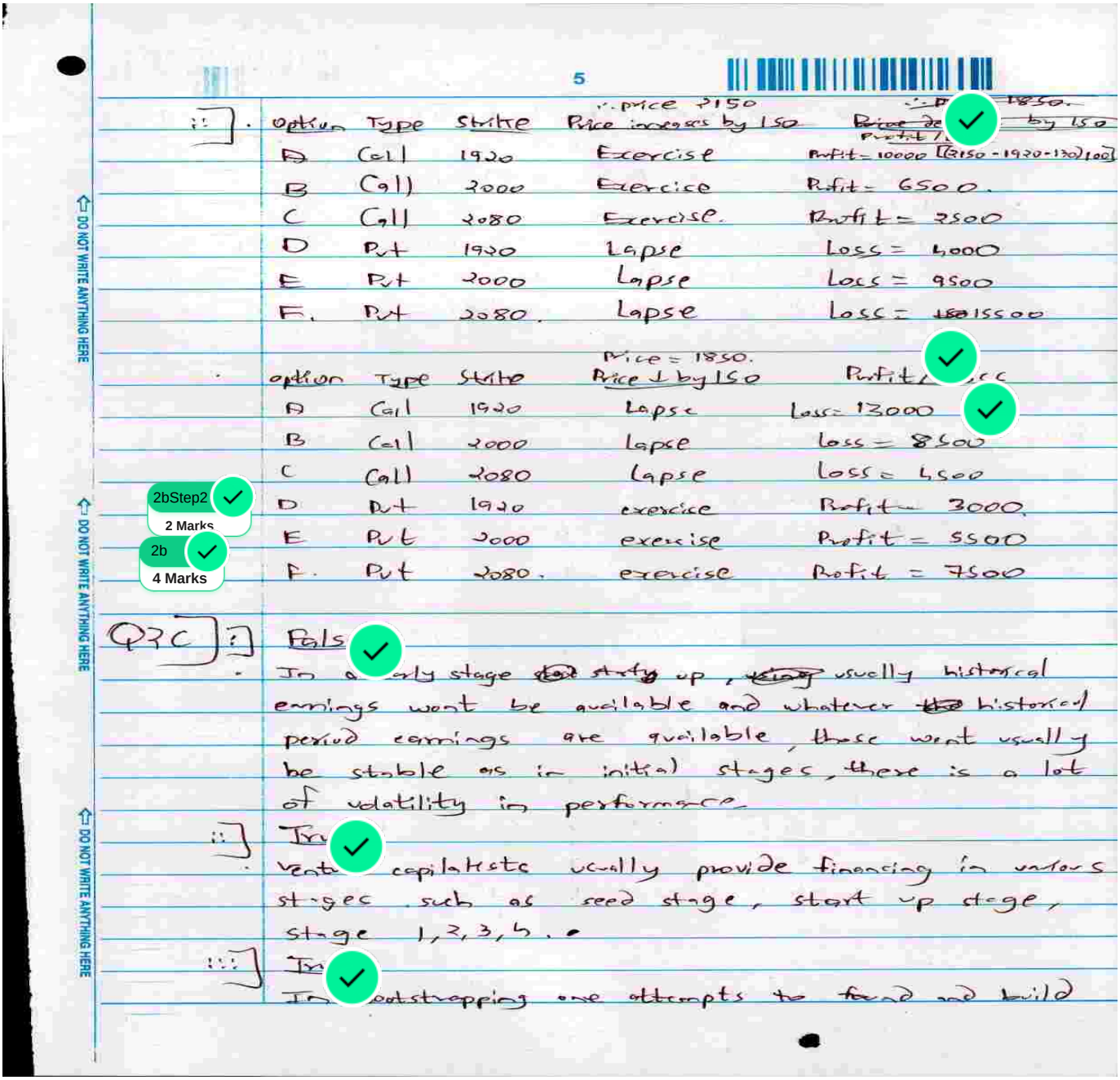
It is assumed that ALPS has "bought" the optio ✓

Spot price = ₹ 2000 Contract size = 100 sh ✓

	Option	Type	Strike	Premium	ITM/OTM ✓	Value Intrinsic [₹2000 - 1970]	Time ✓
1]	A	Call	1970	₹130.	In the money [2000 > 1970]	₹ 80	₹ 50 [130 - 80]
2]	B	Call	2000	85	At the money [2000 = 2000]	0	85
3]	C	Call	2080	45	Out of the money [2080 > 2000]	0	45.
4]	D	Put	1970.	40	Out of the money [2000 > 1970]	0	40.
5]	E	Put	2000	95	At the money [2000 = 2000]	0	95
6]	F	Put	2080	155	In the money [2080 - 2000]	₹80	75

2bStep1 ✓ 2 Marks

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5

i) .

Option	Type	Strike	Price increases by 150	Profit / Loss
A	Call	1920	Exercise	Profit = 10000 [2150 - 1920 - 130] 100
B	Call	2000	Exercise	Profit = 6500.
C	Call	2080	Exercise.	Profit = 2500
D	Put	1920	Lapse	Loss = 4,000
E	Put	2000	Lapse	Loss = 9500
F.	Put	2080.	Lapse	Loss = 15500

Price = 1850.

Option	Type	Strike	Price ↓ by 150	Profit / Loss
A	Call	1920	Lapse	Loss = 13000
B	Call	2000	Lapse	Loss = 8500
C	Call	2080	Lapse	Loss = 4500
D	Put	1920	exercise	Profit = 3000.
E	Put	2000	exercise	Profit = 5500
F.	Put	2080.	exercise	Profit = 7500

2bStep2 — 2 Marks

2b — 4 Marks

Q7C] :] Pals

In a early stage start up, usually historical earnings wont be available and whatever historical period earnings are available, these wont usually be stable as in initial stages, there is a lot of volatility in performance.

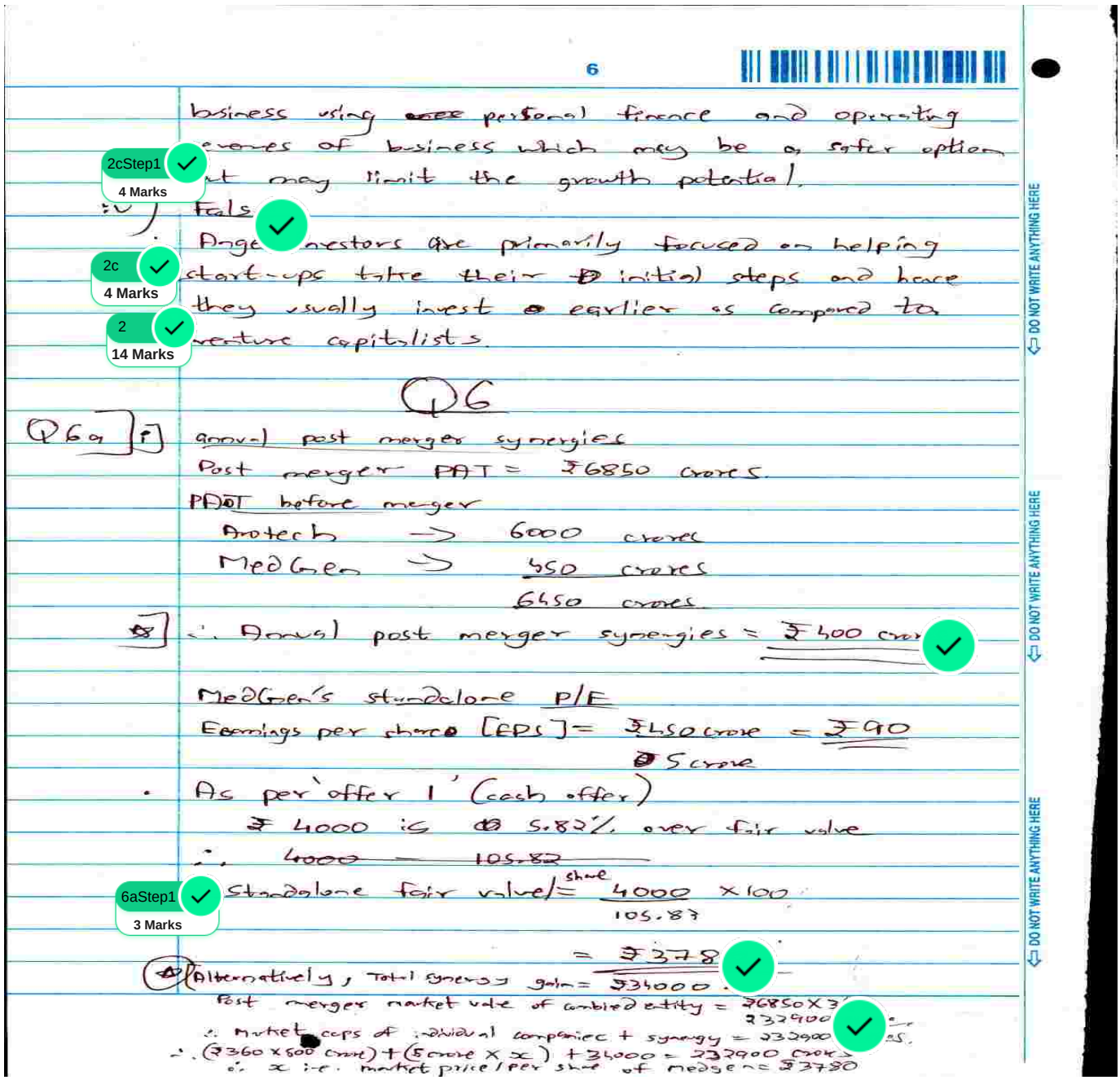
:] In Venture capitalists usually provide financing in various stages such as seed stage, start up stage, stage 1, 2, 3, 4.

::] In In bootstrapping one attempts to found and build

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6

business using ~~xxx~~ personal finance and operating ~~xxxxx~~ of business which may be a safer option ~~xxx~~ may limit the growth potential.

2cStep1 ✓ 4 Marks

(v) False ✓

2c ✓ 4 Marks

Angel investors are primarily focused on helping start-ups take their initial steps and hence they usually invest earlier as compared to venture capitalists.

2 ✓ 14 Marks

Q6

Q6 a] i]

Annual post merger synergies

Post merger PAT = ₹6850 crores.

PAT before merger

Protech → 6000 crores

MedGen → 450 crores

6450 crores

ii] ∴ Annual post merger synergies = ₹400 cr ✓

MedGen's standalone P/E

Earnings per share [EPS] = ₹450 crore / 5 crore = ₹90

As per 'offer 1' (cash offer)

₹ 4000 is 5.82% over fair value

∴ 4000 — 105.82

6aStep1 ✓ 3 Marks

Standalone fair value/share = 4000 / 105.82 × 100

= ₹3780 ✓

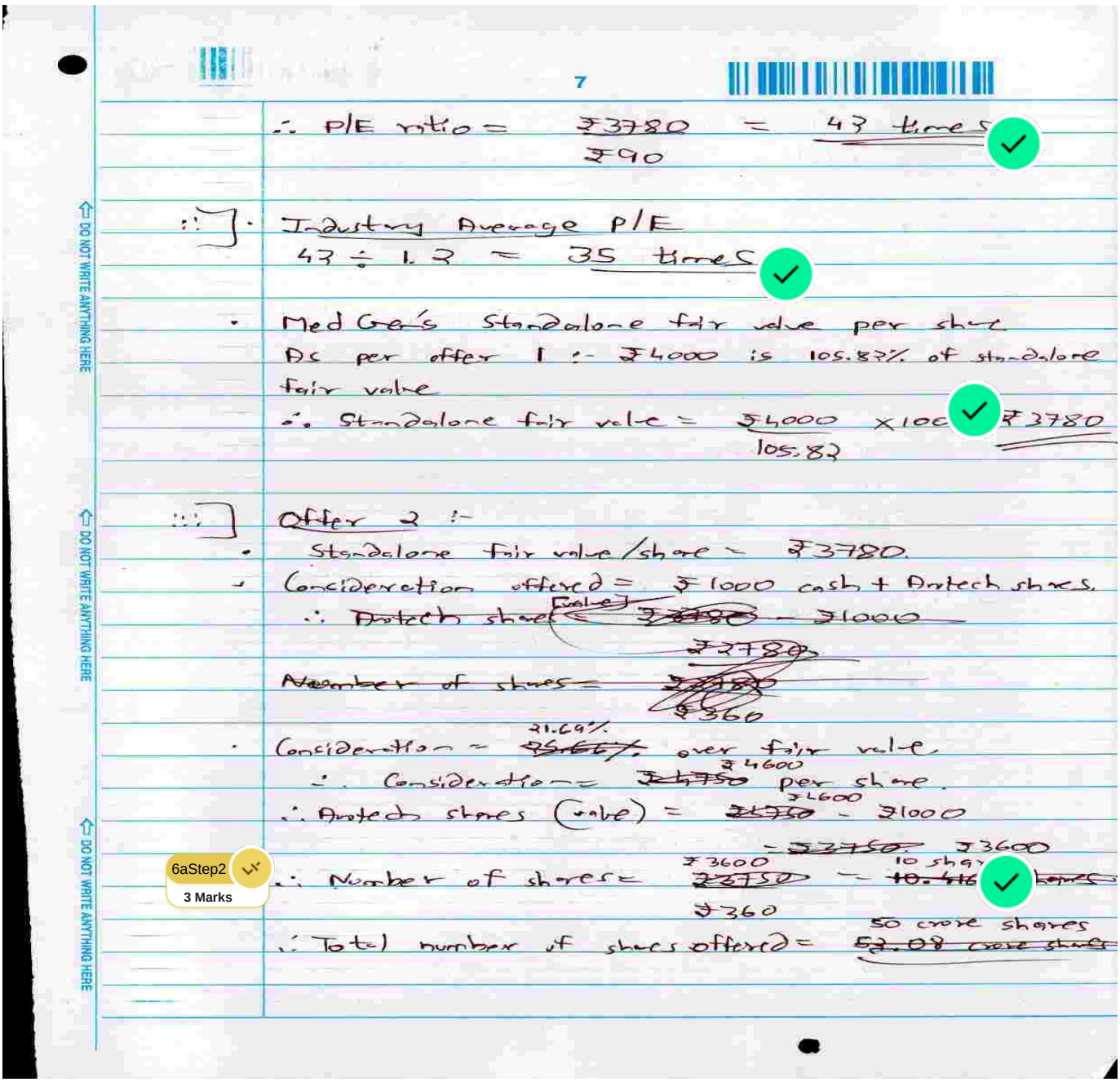
Alternatively, Total synergy gain = ₹34000 ✓

Post merger market value of combined entity = 76850 × 3 = ₹232900 ✓ cr

∴ market caps of individual companies + synergy = 232900 cr.

∴ (₹360 × 800 crs) + (5 crore × x) + 34000 = 232900 crs

∴ x i.e. market price per share of MedGen = ₹3780



7

∴ P/E ratio = ₹3780 / ₹90 = 42 times ✓

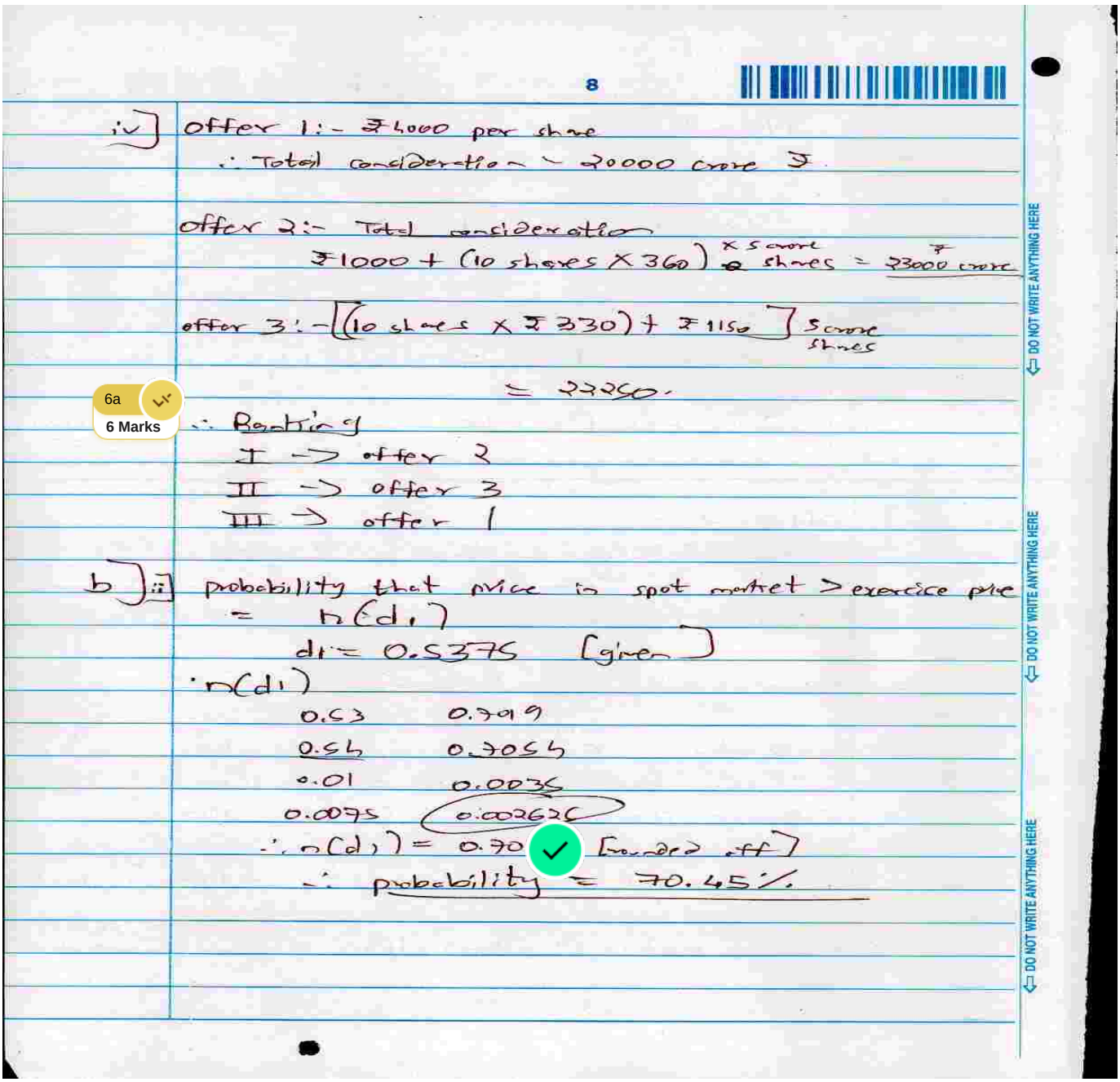
iii) Industry Average P/E
42 ÷ 1.2 = 35 times ✓

- Med Ge's Standalone fair value per share
As per offer I :- ₹4000 is 105.82% of standalone fair value
∴ Standalone fair value = ₹4000 / 105.82 × 100 = ₹3780 ✓

iv) Offer 2 :-
- Standalone fair value/share = ₹3780.
- Consideration offered = ₹1000 cash + Avatech shares.
∴ Avatech share ~~(value) = ₹3780 - ₹1000~~ ₹2780
Number of shares = ~~₹2780~~ / ₹360
- Consideration = ~~25.64%~~ 21.64% over fair value.
∴ Consideration = ~~₹4750~~ ₹4600 per share.
∴ Avatech shares (value) = ~~₹4750~~ ₹4600 - ₹1000
= ~~₹3750~~ ₹3600
∴ Number of shares = ₹3600 / ₹360 = 10 shares ✓

6aStep2 ✓
3 Marks

∴ Total number of shares offered = ~~52.08 crore shares~~ 50 crore shares



8

iv] offer 1:- ₹4000 per share
∴ Total consideration ~ 20000 crore ₹

offer 2:- Total consideration
₹1000 + (10 shares × 360) × 5 crore shares = ₹23000 crore

offer 3:- [(10 shares × ₹330) + ₹1150] 5 crore shares

= 22250.

6a LT 6 Marks

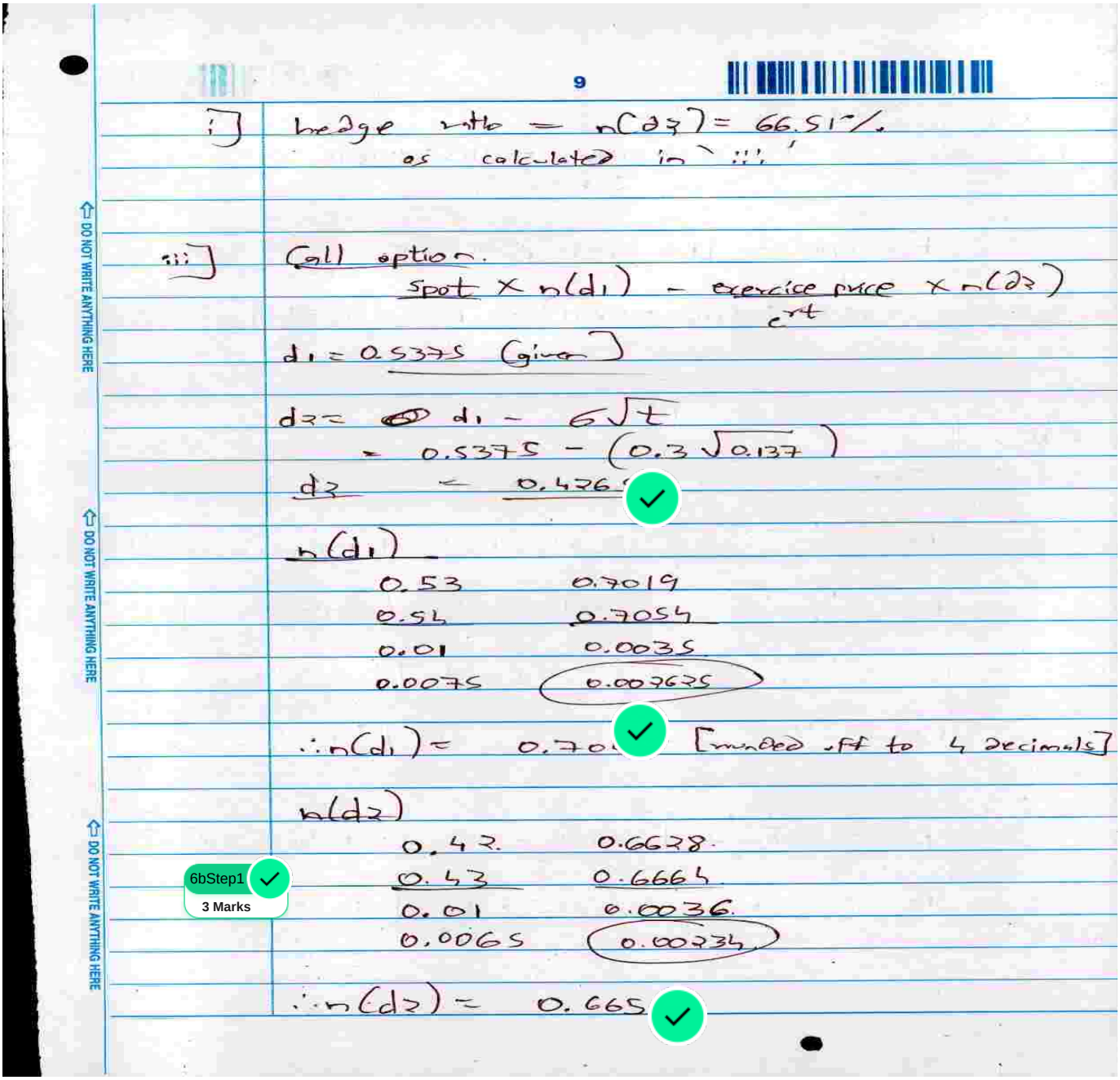
∴ Ranking
I → offer 2
II → offer 3
III → offer 1

b] ii] probability that price in spot market > exercise price
= n(d1)
d1 = 0.5375 [given]
∴ n(d1)

0.53	0.7019
0.54	0.7054
0.01	0.0035
0.0075	0.002626

∴ n(d1) = 0.70 [rounded off]
∴ probability = 70.45%

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9

i] hedge ratio = n(d2) = 66.51%.
as calculated in iii]

iii] Call option.

$$\text{Spot} \times n(d_1) - \frac{\text{exercise price}}{e^{rt}} \times n(d_2)$$

$d_1 = 0.5375$ (given)

$d_2 = d_1 - \sigma\sqrt{t}$

$= 0.5375 - (0.3\sqrt{0.137})$

$d_2 = 0.4264$

n(d1)

0.53	0.7019
0.54	0.7054
0.01	0.0035
0.0075	0.002625

∴ n(d1) = 0.70 [rounded off to 4 decimals]

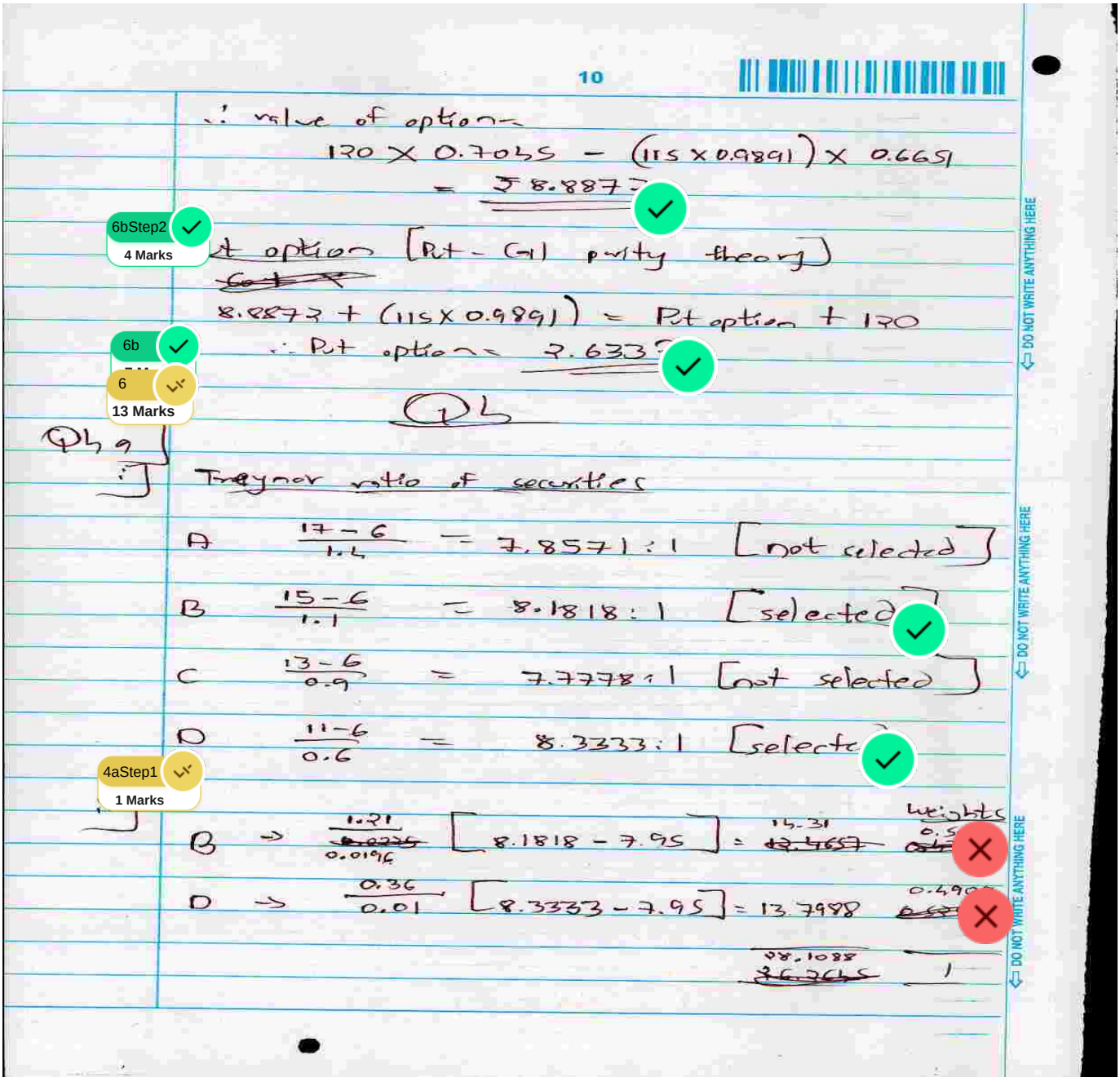
n(d2)

0.42	0.6628
0.43	0.6664
0.01	0.0036
0.0065	0.00234

∴ n(d2) = 0.665

6bStep1
3 Marks

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10

∴ value of option =

$120 \times 0.7045 - (115 \times 0.9891) \times 0.6659$

$= ₹ 8.8872$

6bStep2 ✓ 4 Marks

put option [Put - Call parity theory]

$8.8872 + (115 \times 0.9891) = \text{Put option} + 120$

∴ Put option = 7.6333

6b ✓ 6 ✓ 13 Marks

Q4

Q4 a)

Treynor ratio of securities

A $\frac{17-6}{1.4} = 7.8571 : 1$ [not selected]

B $\frac{15-6}{1.1} = 8.1818 : 1$ [selected] ✓

C $\frac{13-6}{0.9} = 7.7778 : 1$ [not selected]

D $\frac{11-6}{0.6} = 8.3333 : 1$ [selected] ✓

4aStep1 ✓ 1 Marks

B → $\frac{1.21}{0.0196}$ [8.1818 − 7.95] = 15.31 ~~12.4657~~ weights ~~0.5~~ ✗

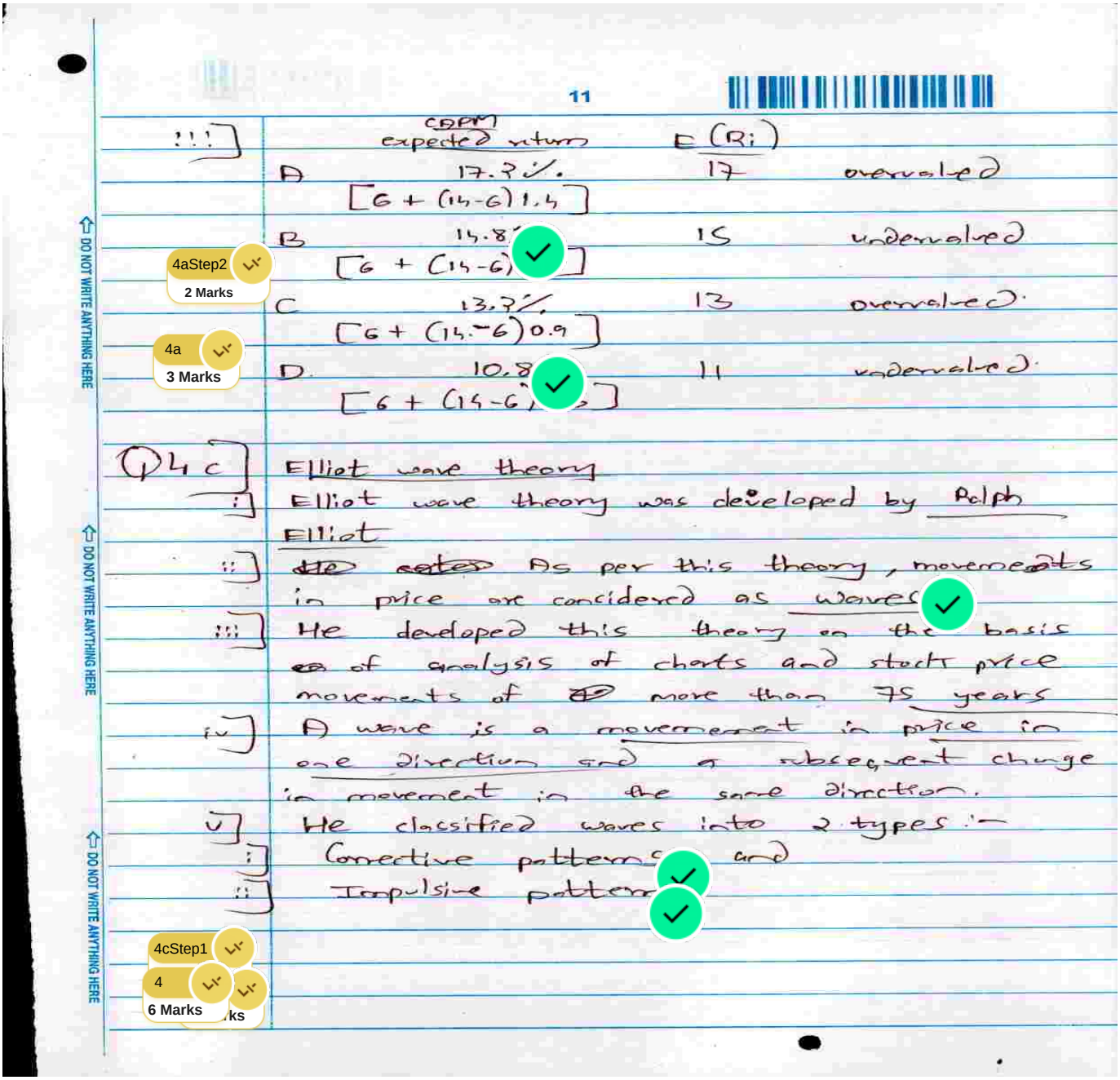
D → $\frac{0.36}{0.01}$ [8.3333 − 7.95] = 13.7988 ~~0.49~~ ✗

~~98.1088~~ ~~86.2645~~ 1

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11

iii] CAPM
expected return — E(Ri) — 17

A 17.2% [6 + (14-6) 1.4] — overvalued

B 14.8% [6 + (14-6)] — 15 — undervalued

4aStep2 — 2 Marks

C 13.2% [6 + (14-6) 0.9] — 13 — overvalued.

4a — 3 Marks

D. 10.8% [6 + (14-6)] — 11 — undervalued.

Q4 c]

i] Elliot wave theory

Elliot wave theory was developed by Ralph Elliot

ii] As per this theory, movements in price are concidered as waves

iii] He developed this theory on the basis of analysis of charts and stock price movements of more than 75 years

iv] A wave is a movement in price in one direction and a subsequent change in movement in the same direction.

v] He classified waves into 2 types :-

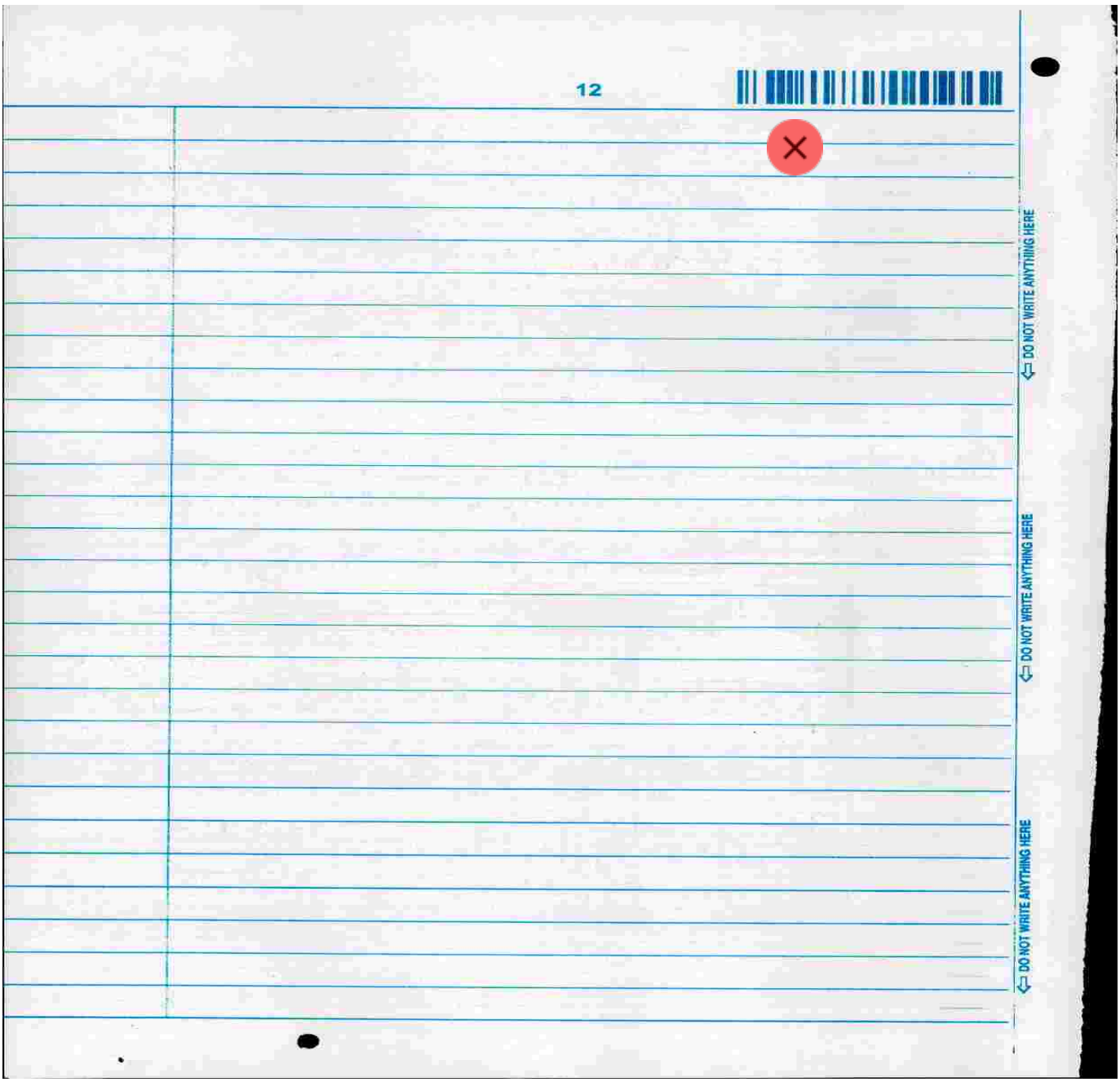
i] Corrective pattern and

ii] Impulsive pattern

4cStep1

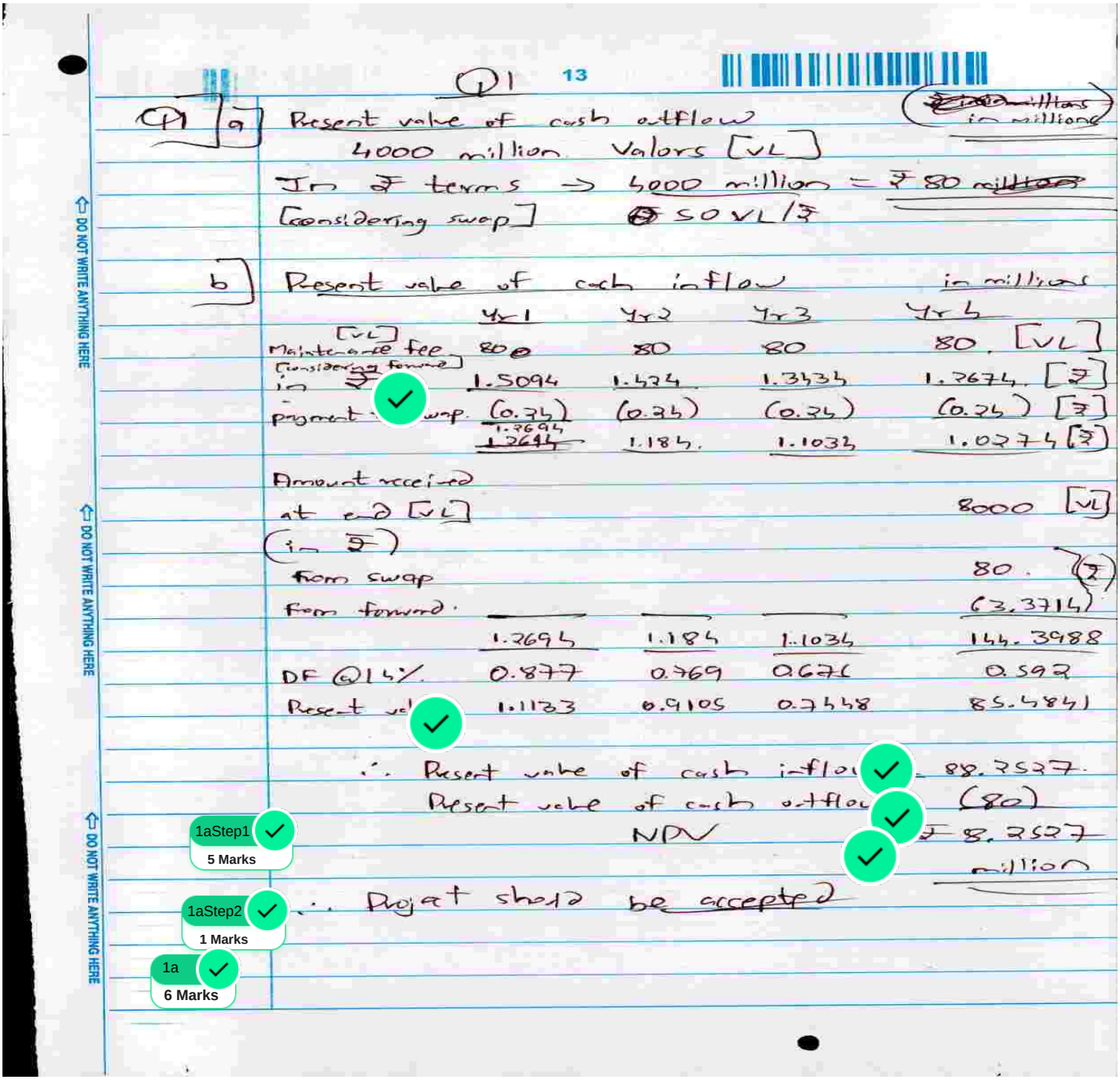
4 — 6 Marks

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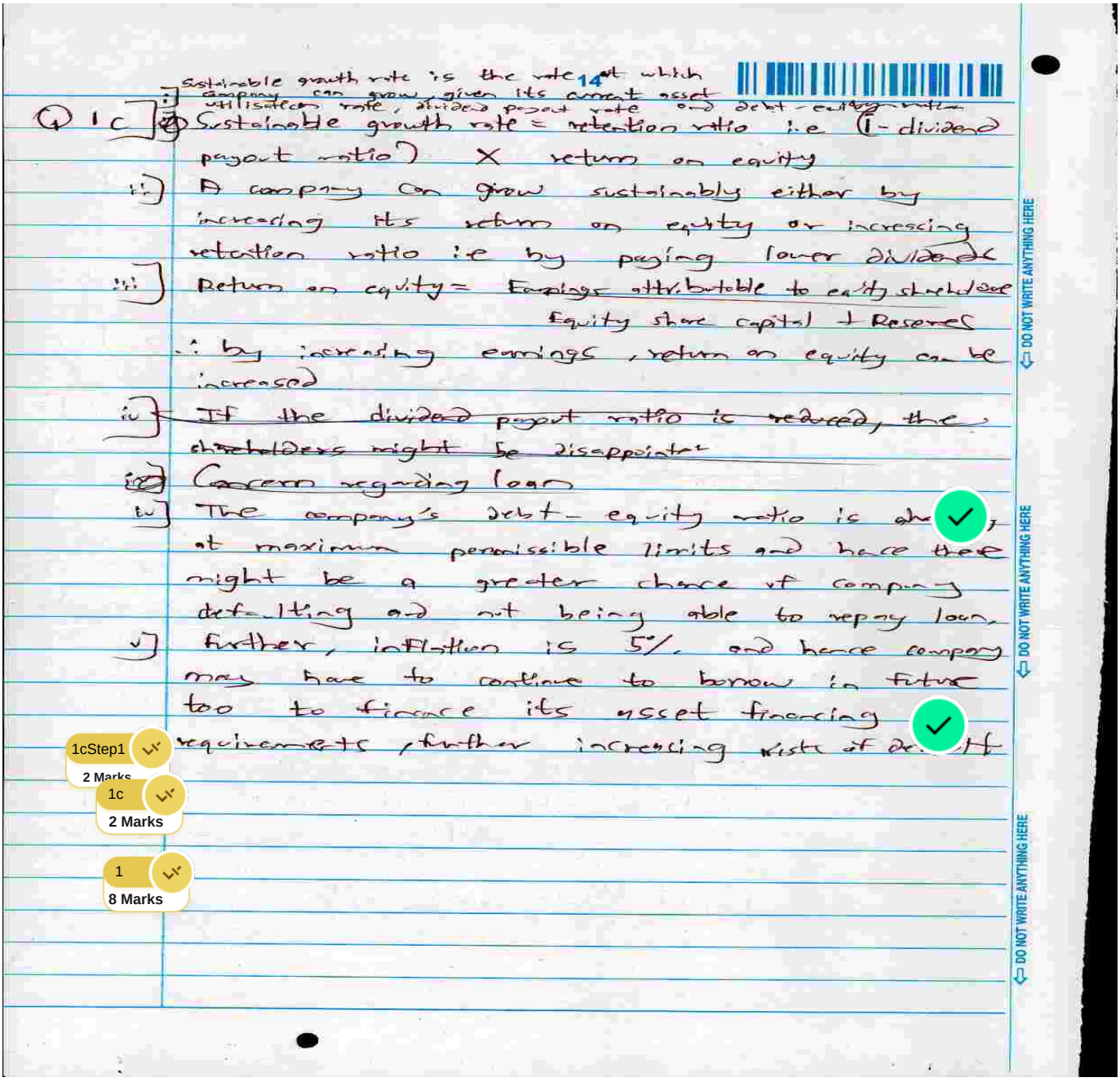
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Q 1c] i) Sustainable growth rate is the rate at which company can grow given its current asset utilisation rate, dividend payout rate and debt-equity ratio

ii) Sustainable growth rate = retention ratio i.e. (1 - dividend payout ratio) × return on equity

iii) A company can grow sustainably either by increasing its return on equity or increasing retention ratio i.e by paying lower dividends

iv) Return on equity = Earnings attributable to equity shareholders / Equity share capital + Reserves

∴ by increasing earnings, return on equity can be increased

v) ~~If the dividend payout ratio is reduced, the shareholders might be disappointed~~

vi) ~~Concern regarding loan~~

vii) The company's debt-equity ratio is already at maximum permissible limits and hence there might be a greater chance of company defaulting and not being able to repay loan.

viii) Further, inflation is 5%, and hence company may have to continue to borrow in future too to finance its asset financing requirements, further increasing risk of default

1cStep1 LY 2 Marks

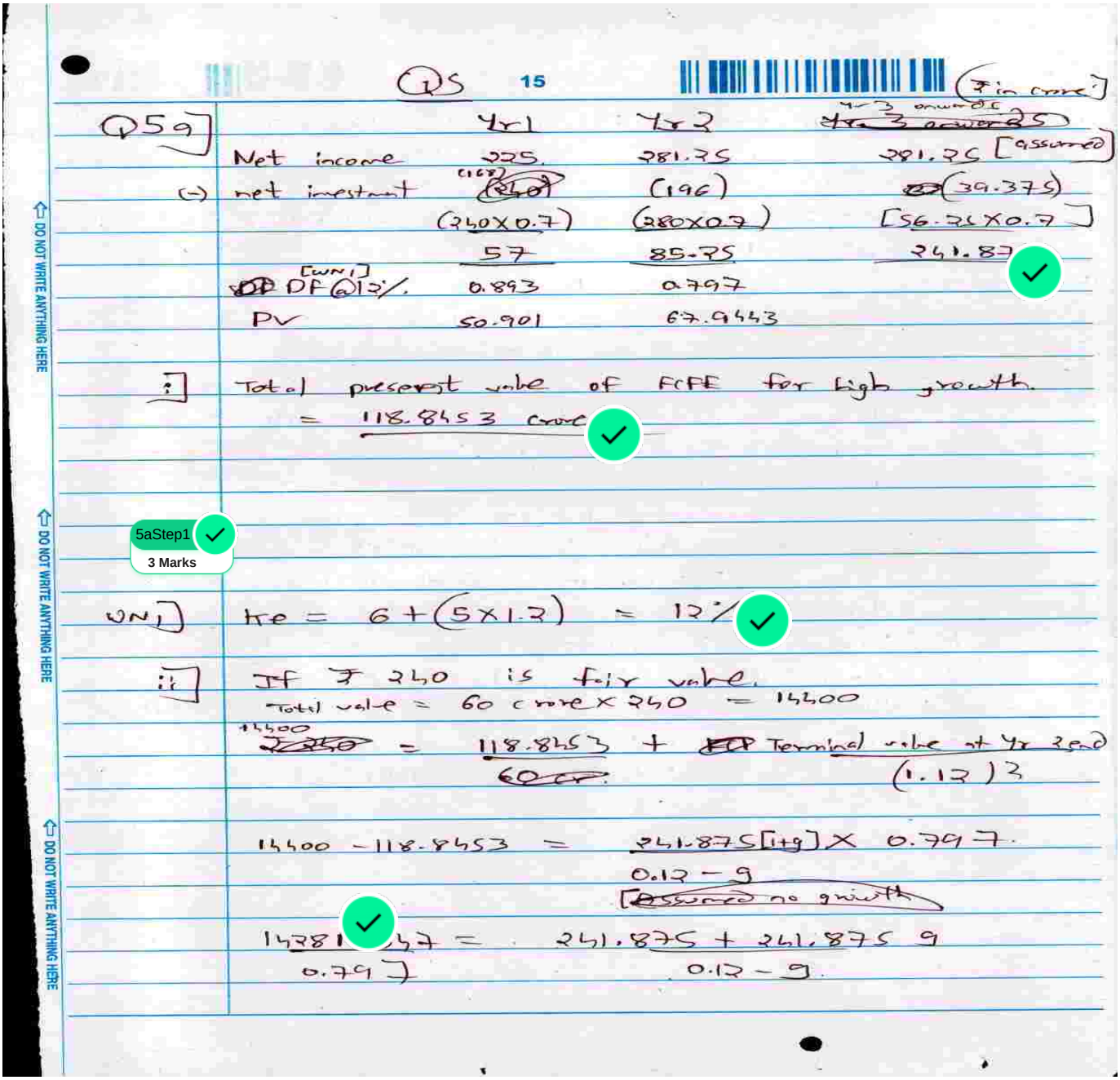
1c LY 2 Marks

1 LY 8 Marks

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Q5 15 (₹ in crore)

Q5a]

		Yr 1	Yr 2	Yr 3 onwards
Net income		225	281.25	281.25 [assumed]
(-) net investment		(240)	(196)	(39.375)
	(240 × 0.7)	57	85.75	[56.25 × 0.7]
				241.87
DF @12%	[WN1]	0.893	0.797	
PV		50.901	67.9443	

i] Total present value of FCFE for high growth.
= 118.8453 crore

5aStep1 3 Marks

WN1] $g_e = 6 + (5 \times 1.2) = 12\%$

ii] If ₹ 240 is fair value.
Total value = 60 crore × 240 = 14400

14400 = 118.8453 + Terminal value at Yr 2 end / $(1.12)^2$

14400 − 118.8453 = $\frac{241.875[1+g] \times 0.797}{0.12 - g}$

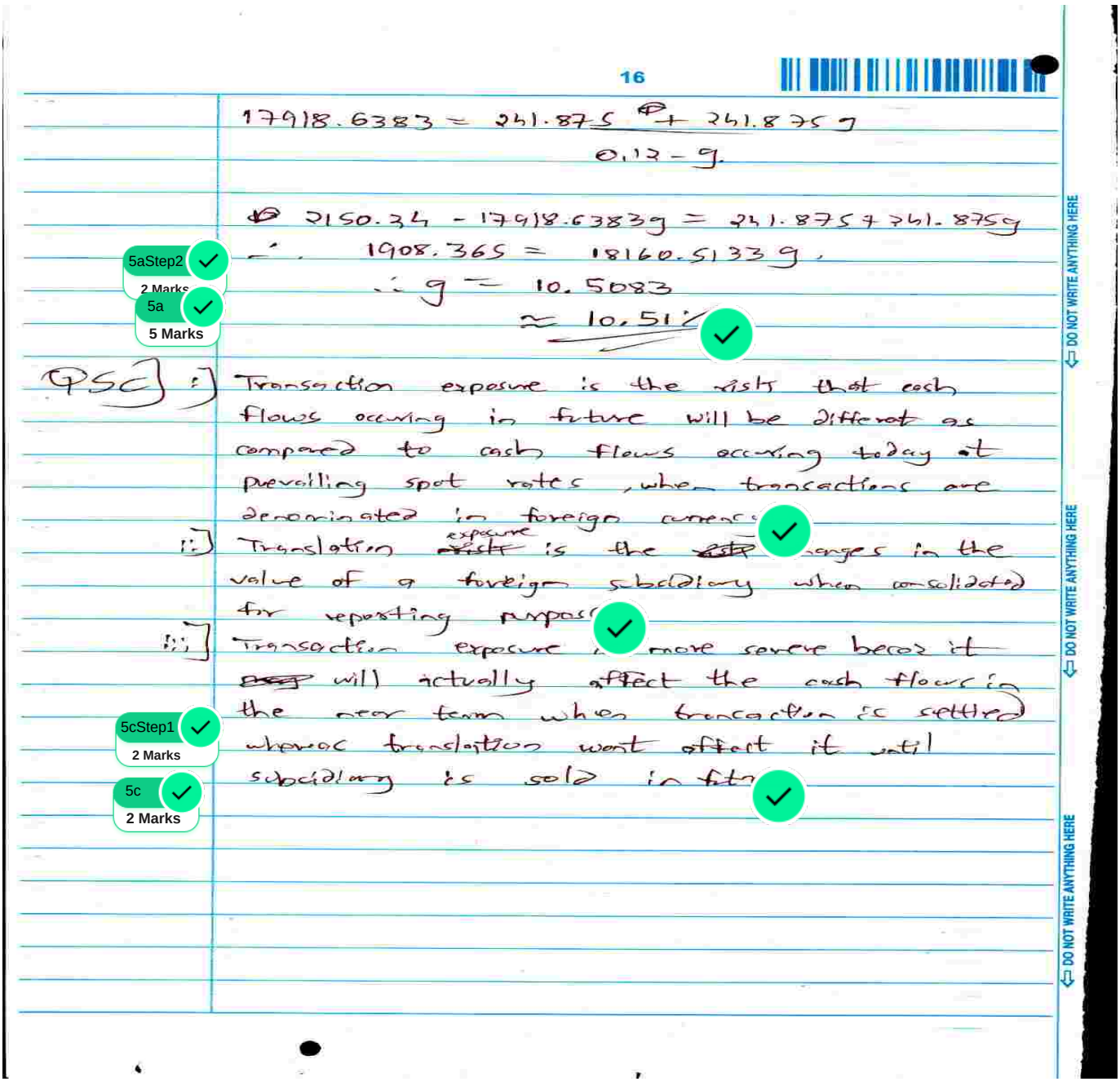
[Assumed no growth]

14281.1547 / 0.797 = $\frac{241.875 + 241.875\,g}{0.12 - g}$

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16

$17918.6383 = 241.875 + 241.875g$

$0.12 - g.$

$2150.34 - 17918.6383g = 241.875 + 241.875g$

$\therefore \quad 1908.365 = 18160.5133g.$

$\therefore g = 10.5083$

$\approx 10.51\%$

5aStep2 ✓ 2 Marks
5a ✓ 5 Marks

Q5C] i) Transaction exposure is the risk that cash flows occuring in future will be different as compared to cash flows occuring today at prevailing spot rates, when transactions are denominated in foreign currency.

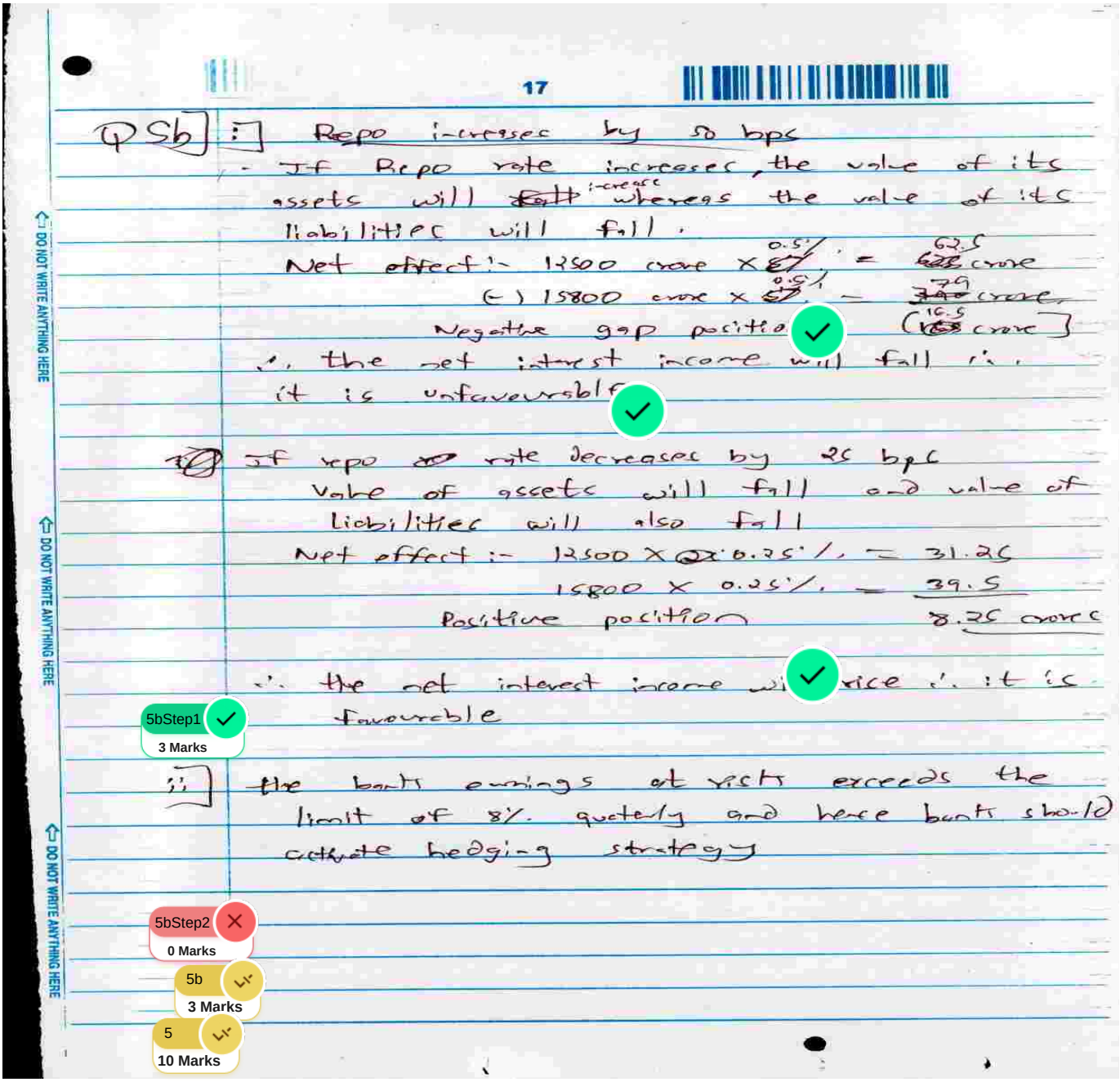
ii) Translation ~~risk~~ exposure is the ~~risk~~ changes in the value of a foreign subsidiary when consolidated for reporting purpose.

iii) Transaction exposure is more severe because it will actually affect the cash flows in the near term when transaction is settled whereas translation wont affect it until subsidiary is sold in future.

5cStep1 ✓ 2 Marks
5c ✓ 2 Marks

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17

Q 5b] :] Repo increases by 50 bps

- If Repo rate increases, the value of its assets will increase whereas the value of its liabilities will fall.

Net effect :- 12500 crore × 0.5% = 62.5 crore
(-) 15800 crore × 0.5% = 79 crore
Negative gap position (16.5 crore)

∴ the net interest income will fall i.e. it is unfavourable

If repo rate decreases by 25 bps
Value of assets will fall and value of liabilities will also fall
Net effect :- 12500 × 0.25% = 31.25
15800 × 0.25% = 39.5
Positive position 8.25 crores

∴ the net interest income will rise i.e. it is favourable

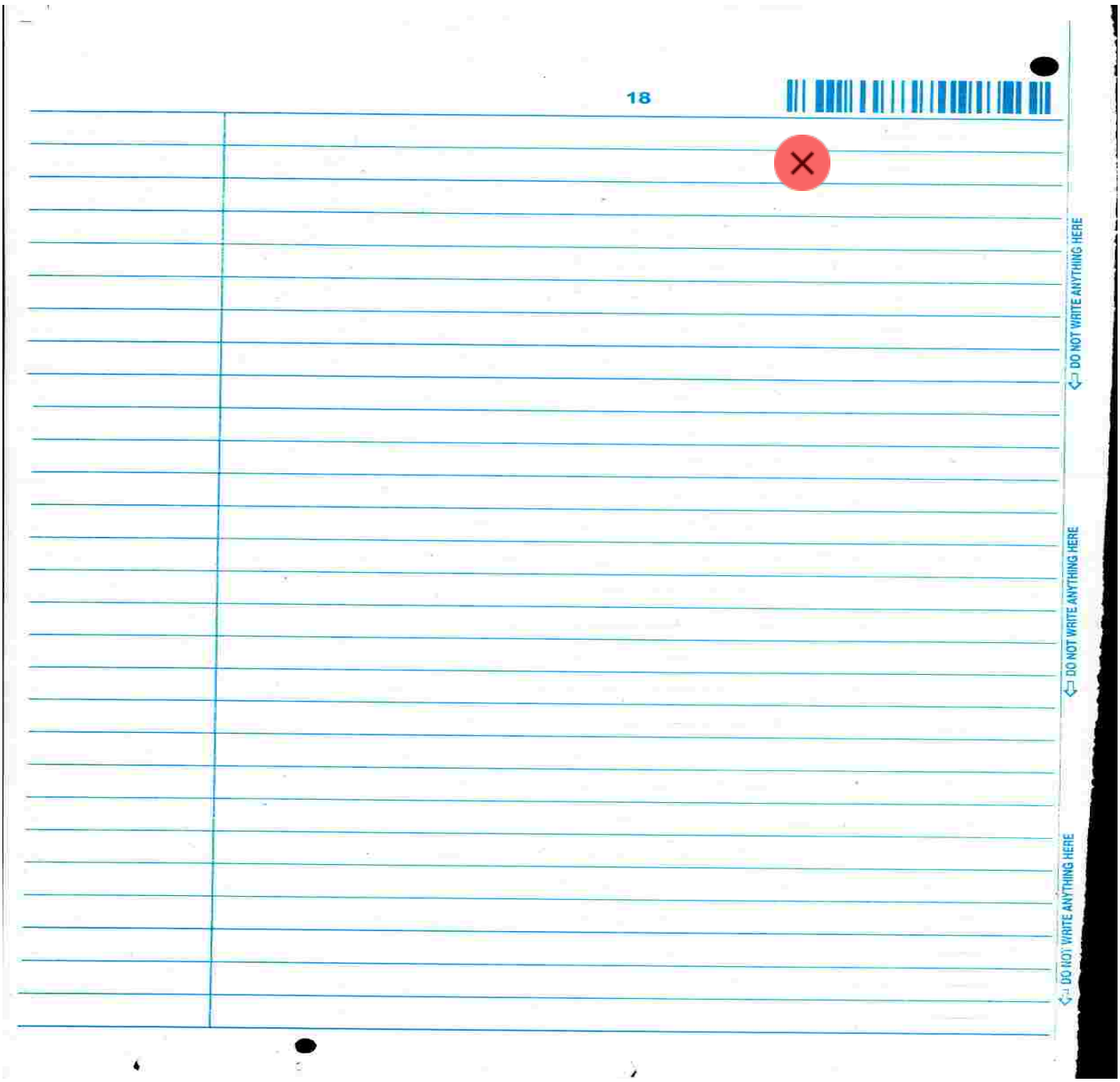
5bStep1 ✓ 3 Marks

ii] the bank earnings at risk exceeds the limit of 8% quarterly and hence bank should activate hedging strategy

5bStep2 ✗ 0 Marks
5b 3 Marks
5 10 Marks

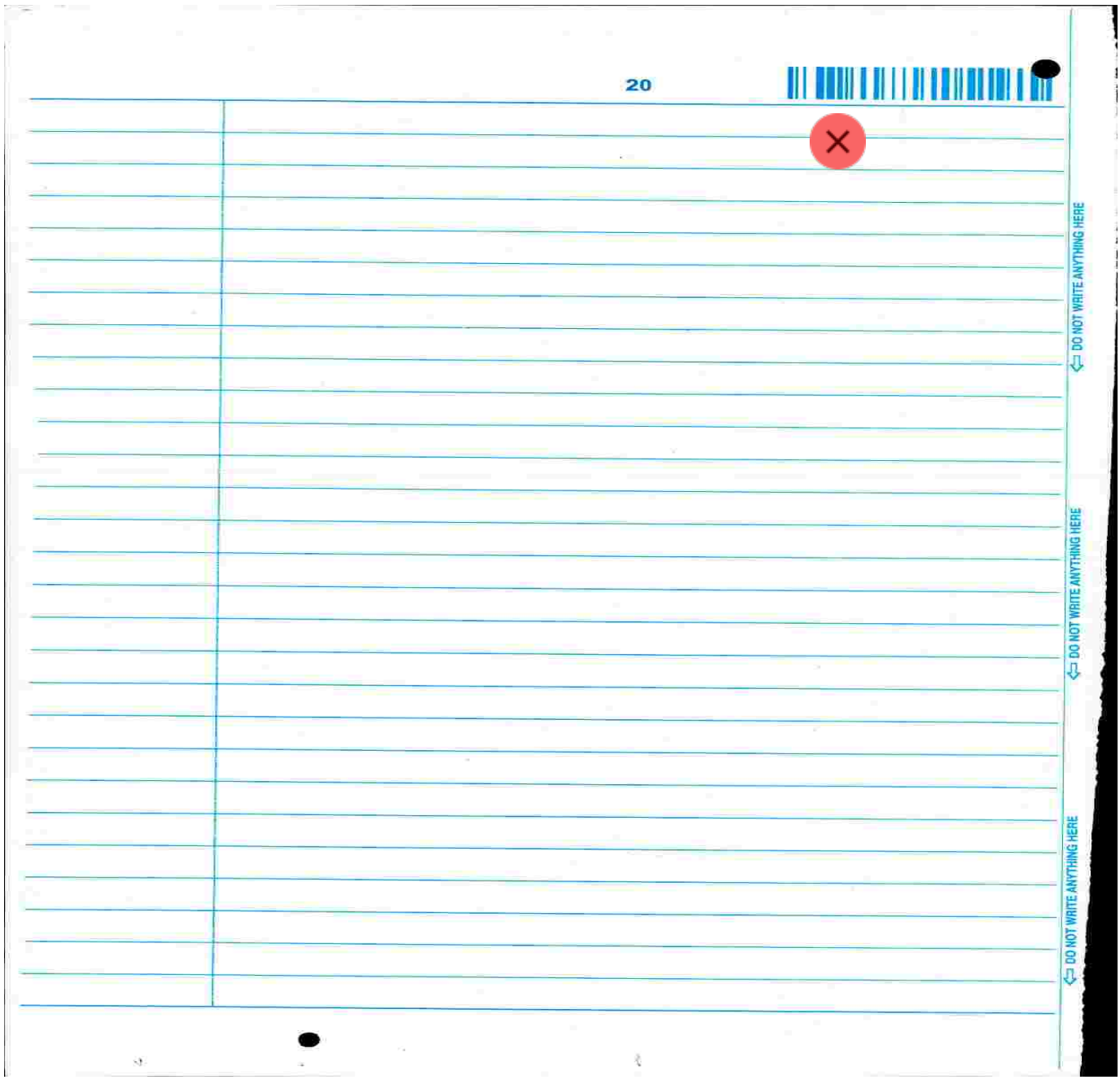
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Code: FN2AF805015 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 51



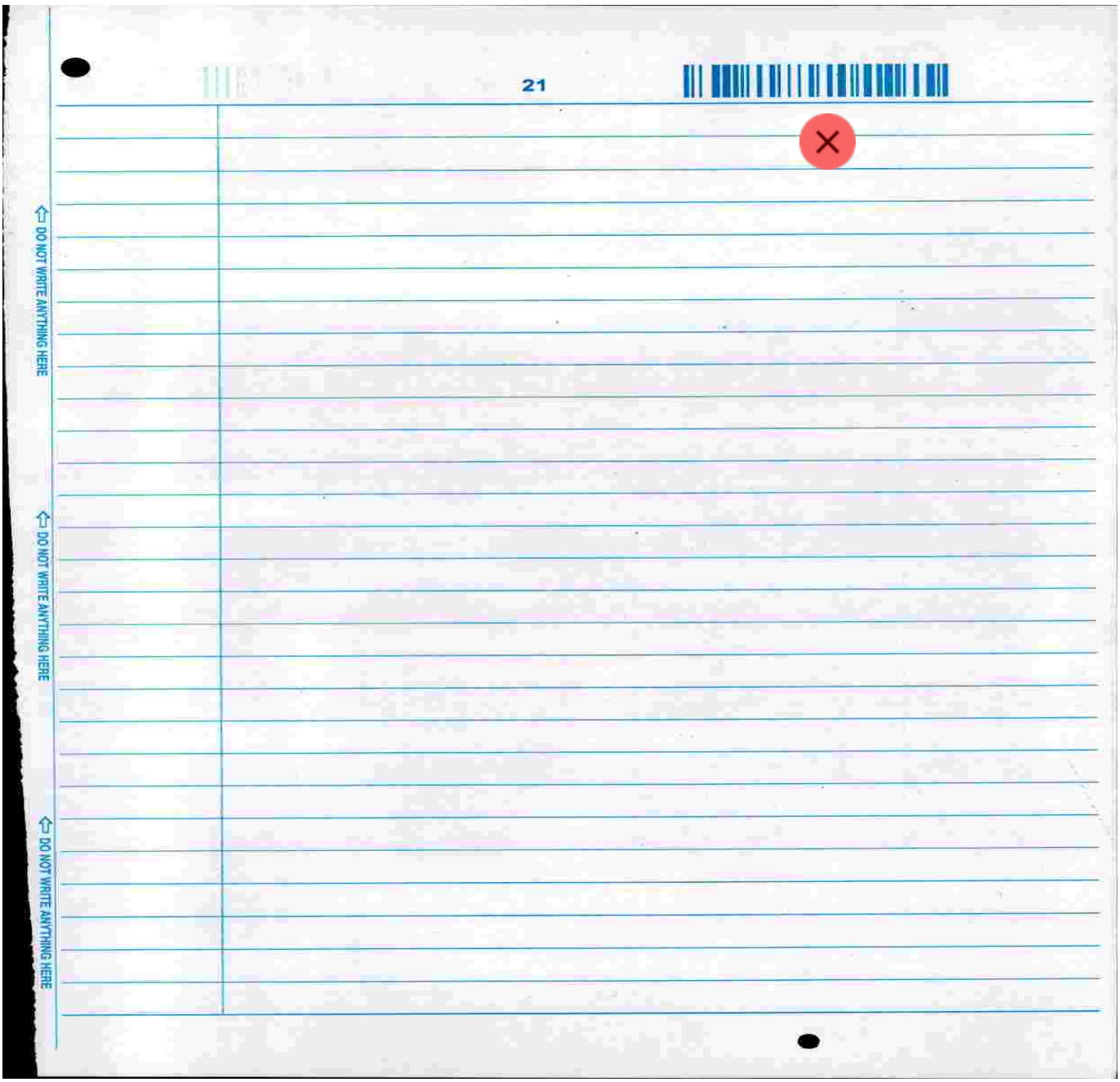

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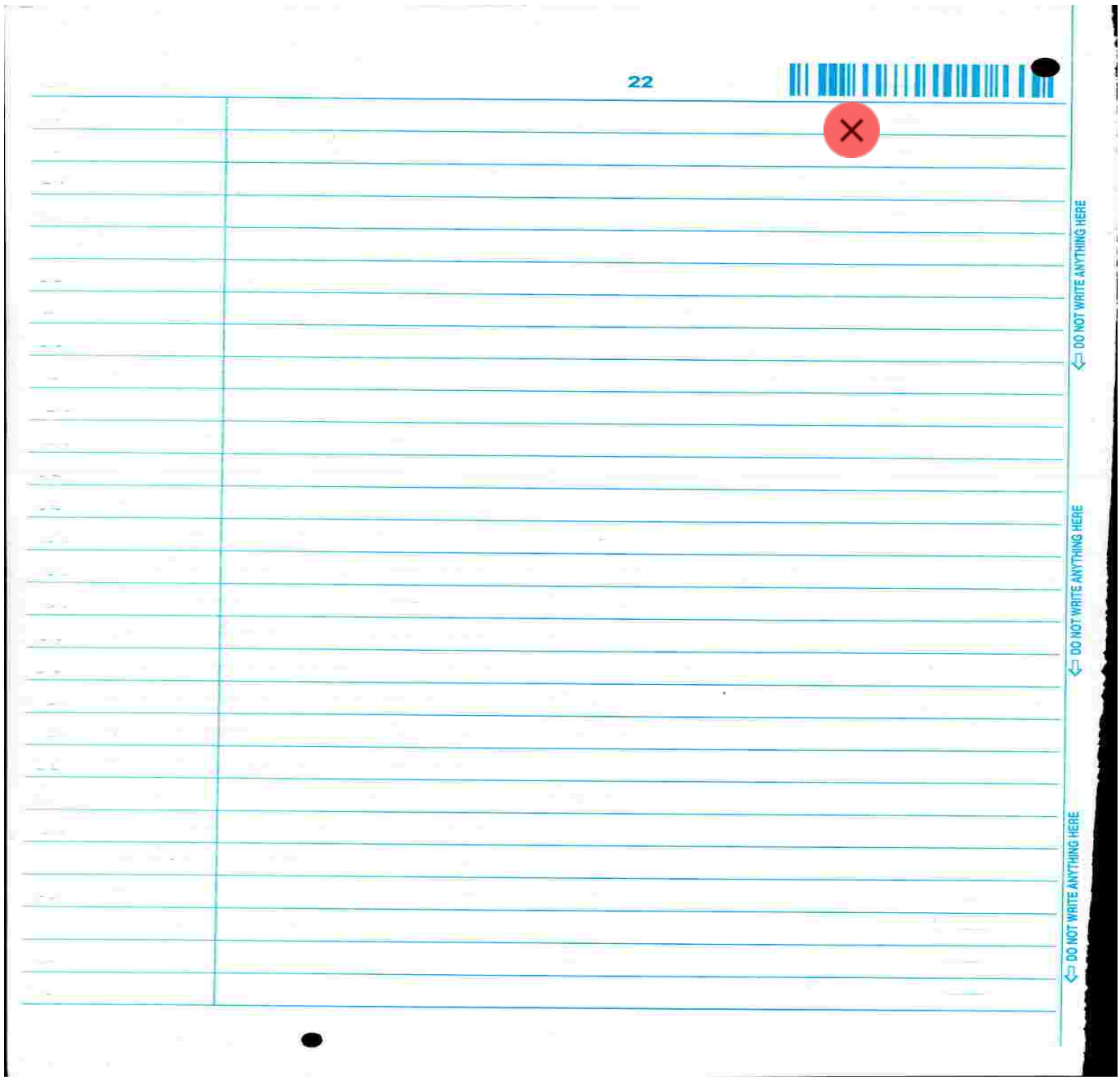
Code: FN2AF805015 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 51

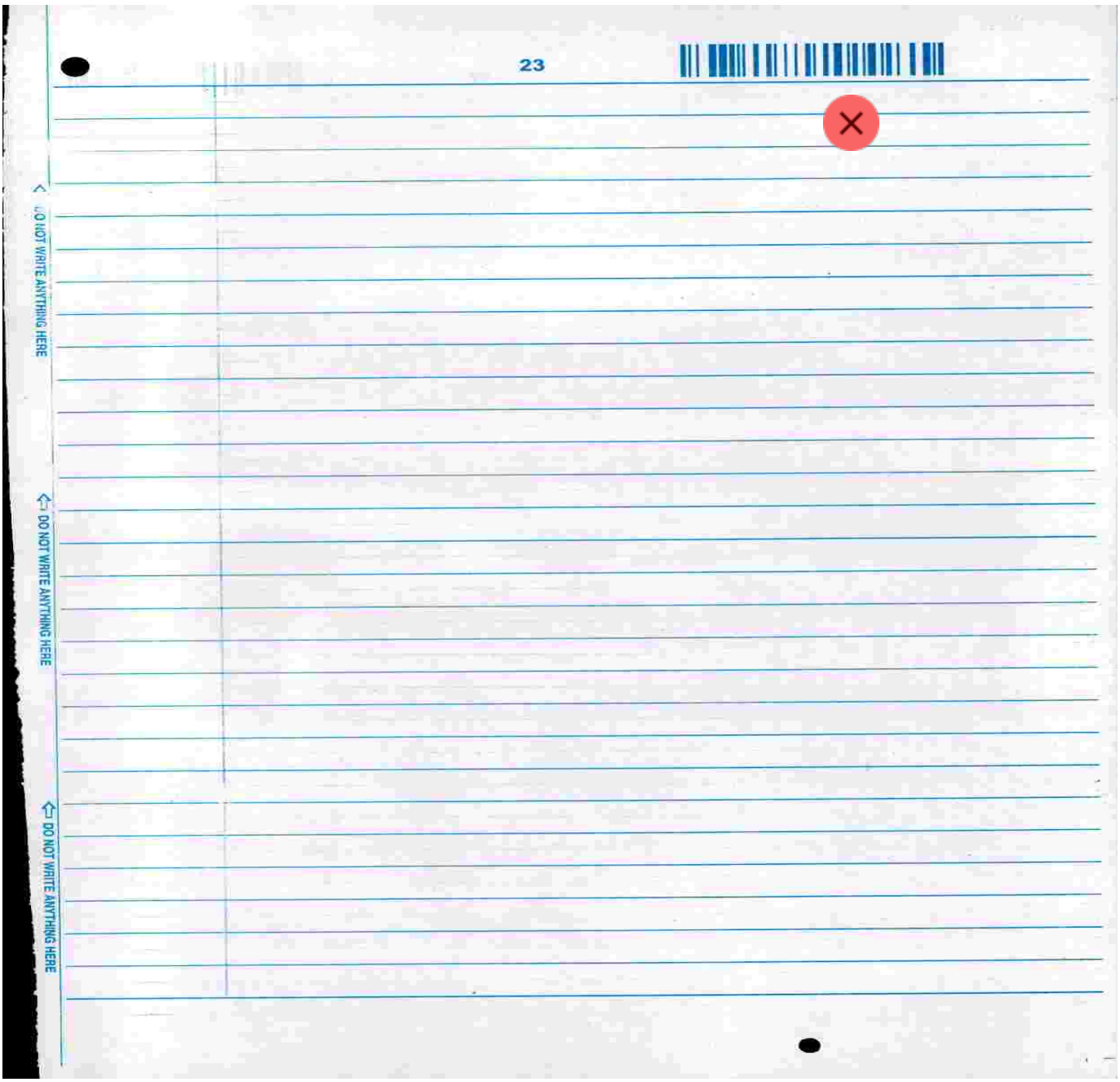


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Code:	FN2AF805015	**Total Marks:**	70
Subject :	02 Advanced Financial Management	**Marks Obtained :**	51

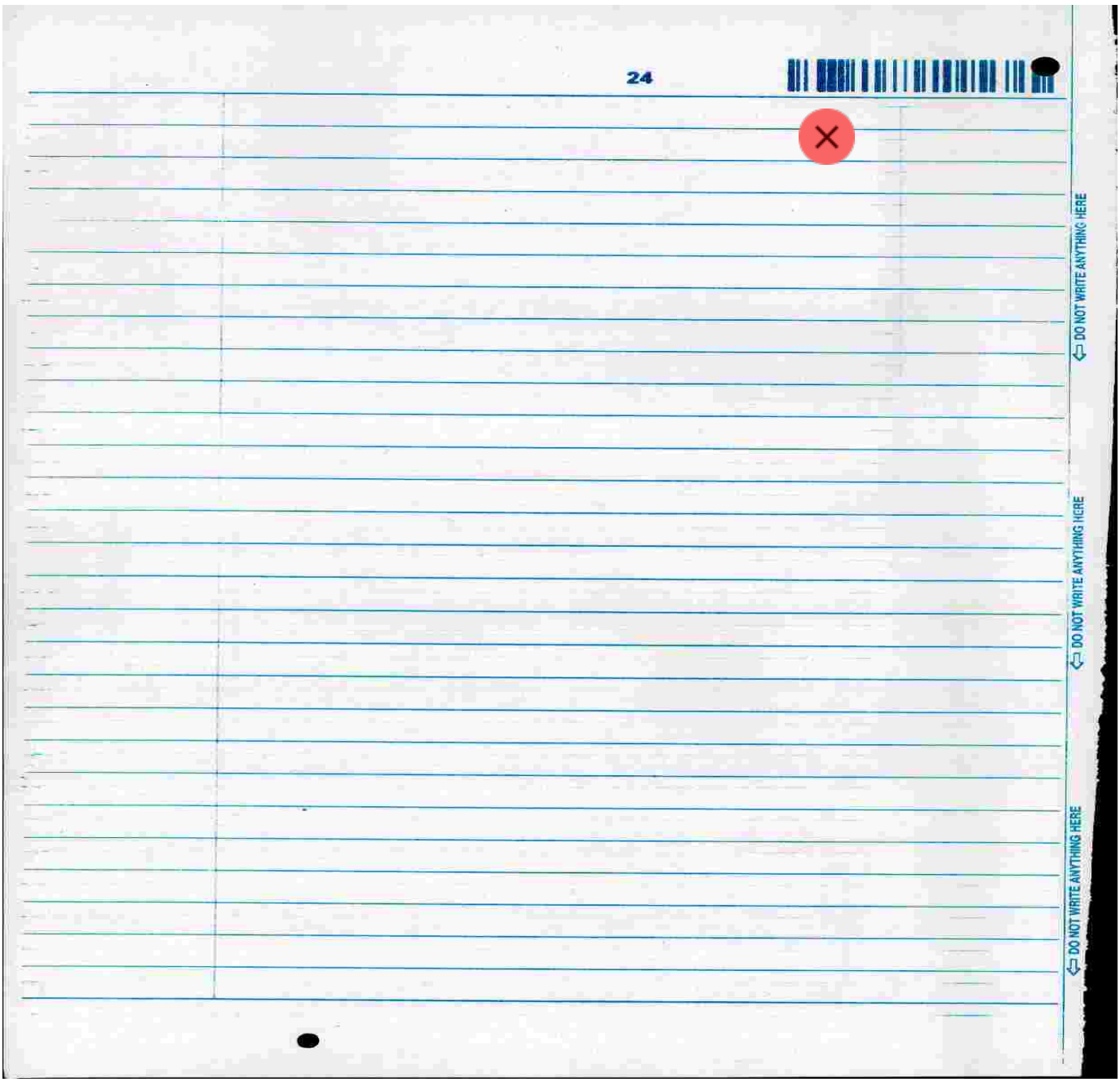


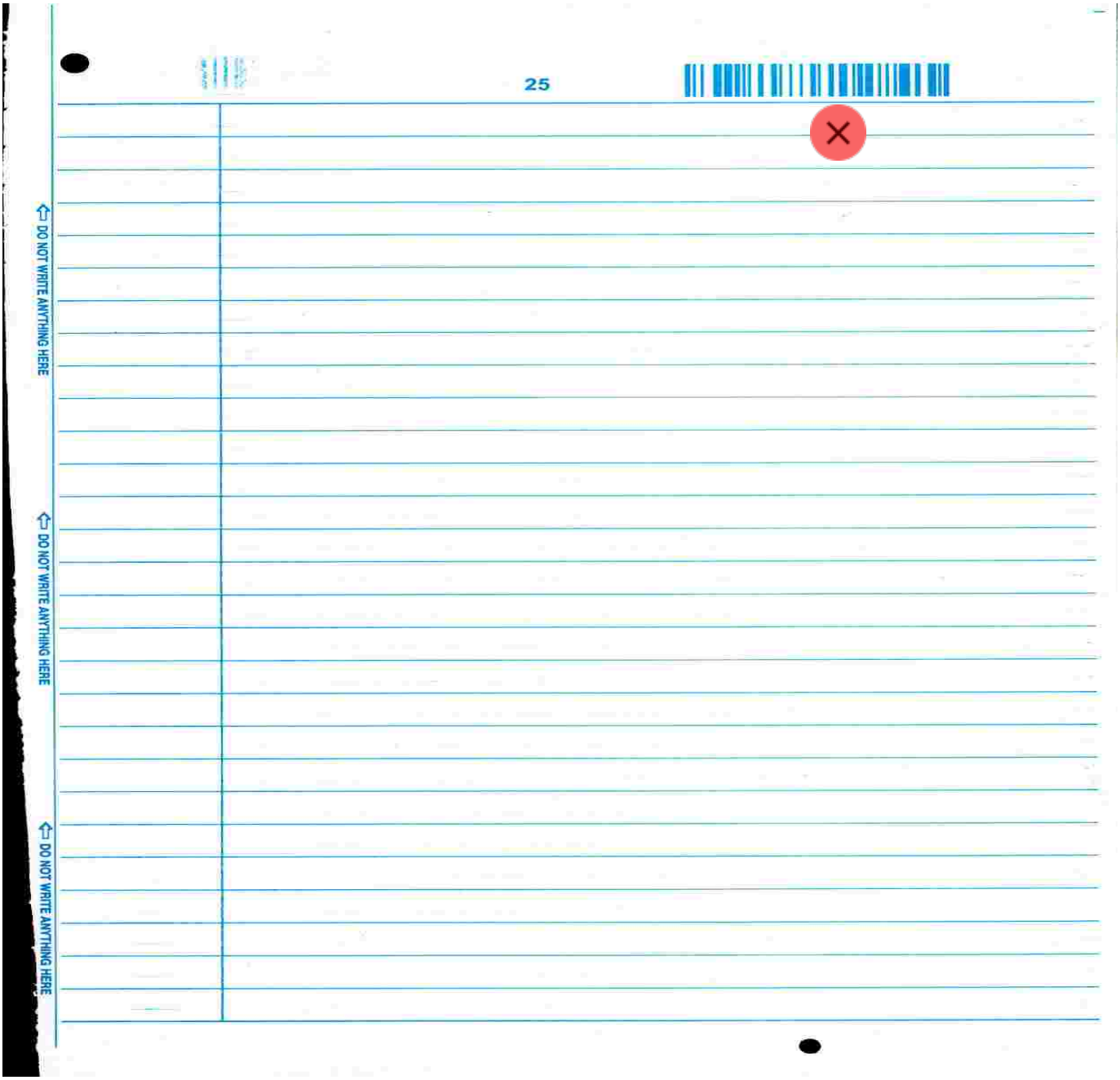

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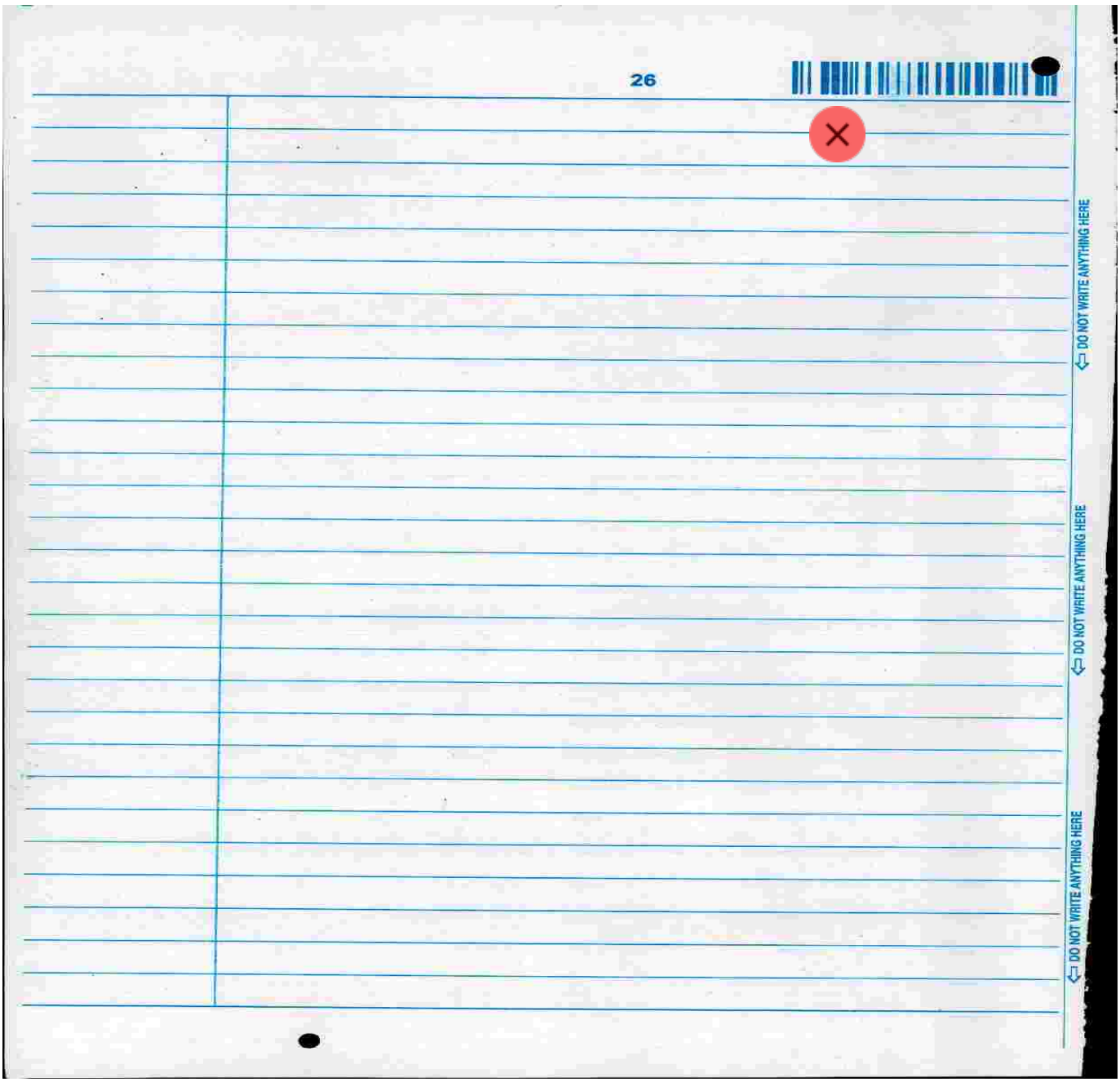

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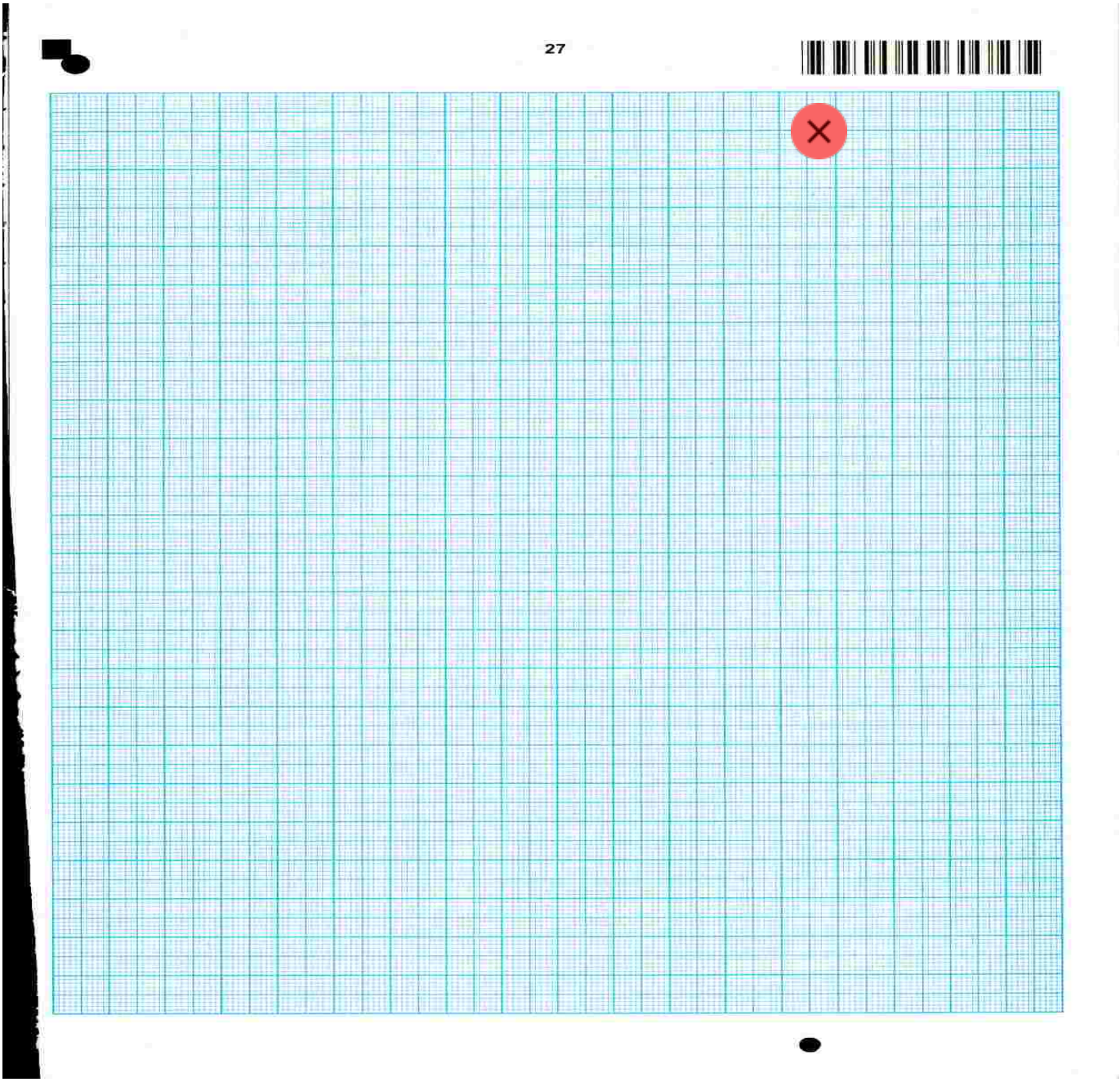
Code: FN2AF805015 **Total Marks:** 70

Subject : 02 Advanced Financial Management **Marks Obtained :** 51




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Code: FN2AF805015 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 51

Result Overview

Awarded Marks:51	Max Marks:70

Not Attempted	Optional	M Marked

Q1_Compulsory (Score: 8/14)

Question No	Awarded Marks	Maximum Marks	Status
1	8	14	M
1a	6	6	M
1b	0	4	
1c	2	4	M

Q2_Q6 (Score: 43/56)

Question No	Awarded Marks	Maximum Marks	Status
2	14	14	M
2a	6	6	M
2b	4	4	M
2c	4	4	M
3	0	14	
3a	0	6	

3b	0	4	
3c	0	4	
4	6	14	M
4a	3	6	M
4b	0	4	
4c	3	4	M
5	10	14	M
5a	5	5	M
5b	3	7	M
5c	2	2	M
6	13	14	M
6a	6	7	M
6b	7	7	M